

Overview of the child support scheme [¶12-010]

[¶12-010]

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The child support scheme operates under the [Child Support Act 1991](#) (CHS) — one of the Inland Revenue Acts that is administered by Inland Revenue (IR) who accepts applications for child support from carers, calculates how much support a liable parent is required to pay and collects the amount due.

If the carer is a beneficiary, any child support payments collected by IR are first applied to paying the carer's benefit. Any surplus, after the government's costs of the benefit are met, is then paid directly to the carer. If the carer is not a beneficiary, any child support payments collected by IR are paid directly by IR to the carer without deduction.

IR also collects and pays domestic maintenance (ie maintenance paid to a spouse or partner where there are no children), court-ordered child maintenance and any maintenance payable under a voluntary agreement (ie an agreement to pay child support where both parties agree on the amount to be paid).

Participation in the child support scheme is compulsory for those people who:

- # receive a social security benefit (eg sole parent support, an unsupported child's benefit, and certain supported living payments, jobseeker support, young parent payments, or emergency benefits)
- # are required to make financial contributions under the CHS, or
- # are required to make maintenance payments under a court order.

Carers who do not receive a benefit can choose whether they want to have child support collected by IR under the child support scheme.

Voluntary agreements

Often a liable parent and carer will choose to enter into a voluntary agreement for child support, rather than adopt the level of support prescribed in the CHS. Voluntary agreements do not need to be registered in the Family Court. Voluntary agreements are registered with IR by completing form [IR102](#) or lodging online via MyIR.

IR will administer voluntary agreements where an application is made by both parties, and it is for regular payments of at least \$520 pa to be paid by the liable parent to the receiving carer. The receiving carer, children and liable parent must be New Zealand citizens or residents. The details of the agreement can be completed on form [IR102](#), or a written agreement can be attached to the form.

Once IR accepts an application to administer a voluntary agreement, only IR can collect the payments. Changes to a voluntary agreement can be made at any time by completing a new form [IR102](#).

Voluntary agreements do not need to be administered by IR unless the receiving carer or the liable parent is required to comply with the CHS.

A voluntary agreement ends if:

- # the agreement expires
- # either party applies for a formula assessment
- # the agreement no longer meets the conditions
- # the receiving carer asks IR to stop collecting child support (form [IR107](#) or through MyIR), or
- # the child the agreement covers no longer qualifies for child support.

Terminology

Child	A child qualifies for child support if he or she is a New Zealand citizen (or ordinarily resident in New Zealand) who is under 18 years of age, or aged 18 and enrolled at and attending a school, is not married (or living in a de facto relationship) and is not financially independent.
Carer	A person (whether or not a parent) who provides ongoing daily care to the child, other than on a commercial basis.
Receiving carer	A carer who receives payments of child support. A parent of a qualifying child is a receiving carer of that child if the parent's income percentage is less than their care cost percentage for the child. If a parent's income percentage and care cost percentage are both 100%, they are a receiving carer. A non-parent carer of a qualifying child is also a receiving carer if the carer provides at least 35% of ongoing daily care to the child.
Liable parent	A parent who is liable to pay child support. A parent of a qualifying child is a liable parent of that child if the parent's income percentage is greater than or equal to their care cost percentage for that child. Liability also arises if IR accepts a voluntary agreement for payment of child support or if a court order is made requiring a parent to pay child support.
Care cost percentage	The percentage of costs associated with providing a proportion of ongoing daily care to a child.
Income percentage	The relevant parent's percentage of the combined child support income amounts of all the qualifying child's parents.

Education and information

IR provides booklet [IR100](#), "Helping you to understand child support", April 2025, to assist paying persons and carers at the beginning of their child support obligations. Alternatively, further information on child support can be found on IR's website at ird.govt.nz/childsupport.

Law: CHS ss [1–19](#), [58](#)

Last reviewed on 31 December 2025

Amendments to child support scheme [¶12-012]

[¶12-012]

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The Child Support (Pass On) Acts Amendment Act 2023 was enacted on 12 June 2023. In summary, the main changes from 1 July 2023 are:

- # IR will pass child support payments on to receiving carers on a solo parent rate of the benefit
- # receiving carers on a solo parent rate of benefit will no longer be required to have child support through IR
- # Ministry of Social Development (MSD) will apply new rules that treat child support as income for benefit purposes and IR will share information about child support payments with MSD for this purpose
- # parents paying formula assessed child support will be able to include their monthly child support liability as a cost when they apply for Temporary Additional Support from MSD.

Last reviewed on 31 December 2025

Calculation of child support [¶12-015]

[¶12-015]

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Under the CHS, any parent or carer of a qualifying child can apply to IR for a child support assessment to be made. If the carer is not a beneficiary, they can choose whether to apply for child support. Unsupported child beneficiaries (USC beneficiaries) must apply for child support. Applications by a parent for child support formula assessments should be made using form IR101 or through MyIR. Non-parent carers who care for a child for at least 35% of the time can apply for a formula assessment using form [IR954](#) (or via web based formula assessment). Non-parent carers must apply for child support from both parents.

The formula for calculating child support was changed with effect from 1 April 2015 to better reflect shared care, the income of both parents and the estimated costs involved in raising children in New Zealand. The formula uses both parents' taxable income, but first deducts a living allowance, any dependent child allowance for children in a parent's care and any multi-group allowance where a parent is paying or receiving child support for children in other relationships. It also takes into account the care each parent provides for the children and the costs of raising them. (For a discussion of the calculation of child support before 1 April 2015, see CCH, *2015 New Zealand Master Tax Guide*.)

IR calculates how much child support should be paid each year, divides this into monthly amounts and advises the liable parent how much they need to pay and the receiving carer how much they're entitled to receive. If 2 parents are liable to pay the other an amount of child support, the Commissioner of IR (Commissioner) may offset one liability against the other.

The formula for periods commencing 1 April 2015 and later is:

$$(i\% \# c\%) \times p$$

where:

- i%** is the parent's income percentage, being the parent's share of the combined child support income amount of all the parents of the child (see below)
- c%** is the parent's care cost percentage (see below), and
- p** is the child expenditure amount for a qualifying child (see below).

Each of the elements of the formula is considered below.

Child support income amount

A parent's income percentage is determined by dividing the person's child support income amount by the sum of the child support income amounts of all the parents of that child. A parent's child support income amount must first be determined, therefore, before a parent's income percentage can be determined.

A parent's child support income amount is the person's adjusted taxable income for the relevant year minus each of the following:

- # the person's living allowance
- # the sum of any dependent child allowances to which the person is entitled, and
- # any multi-group allowance relating to the child.

Adjusted income

If a person's income from the previous year was only from salary, wages, a benefit or New Zealand interest and dividends, their taxable income will be their taxable income from the calendar year (1 January to 31 December) immediately preceding the start of the child support year. For example, a person's child support assessment for the 1 April 2025 to 31 March 2026 year would be based on their taxable income earned in the year from 1 January 2024 to 31 December 2024.

If a person's income from the previous calendar year was from overseas or included sources other than salary, wages, benefit, interest or dividends (such as rents or self-employment income), the assessment will be based on their taxable income in the tax year immediately preceding the most recent tax year (ie income from 2 prior tax years, adjusted by an inflation factor. For example, for the 1 April 2025 to 31 March 2026 child support year, the person's assessment would be based on their income tax return filed for the 1 April 2023 to 31 March 2024 year, adjusted by an inflation factor. The inflation factor was 4.7% for 1 April 2024 to 31 March 2025 and decreased to 2.2% for 1 April 2025 to 31 March 2026.

The first of the 3 amounts deducted from a person's adjusted taxable income to determine a person's child support income amount is the living allowance. This being an amount equivalent to that specified in cl 1 of Sch 4 pt 2 of the Social Security Act 2018 as the rate of sole parent support, grossed up and annualised. A different amount applies for persons receiving supported living payments who are single beneficiaries with one or more dependent children. The rate for those persons is specified in cl 1(c) of Sch 4 pt 3 of the Social Security Act 2018. For a child support year (1 April to 31 March), the relevant amount in the relevant schedule of the Social Security Act is the amount specified in the schedule in force on 1 January in the immediately preceding child support year.

For the 1 April 2025 to 31 March 2026 child support year, the following are the relevant amounts:

Living allowance	\$29,909
Living allowance if receiving supported living payments	\$33,523

Dependent child allowance

A dependent child allowance is an amount deducted from a parent's adjusted taxable income to recognise the costs of children in their care that they are the parent of and for whom child support is not paid or received. A dependent child, in relation to any person, is:

- # the person's child
- # under 18 years of age (or aged 18 and attending school)
- # not financially independent
- # not living with another person in a marriage or de facto relationship
- # not a child of any person assessed for child support in New Zealand or overseas, and
- # maintained as a member of the person's family and for whom the person provides at least 28% (103 nights a year) of the ongoing daily care.

The allowance is based on the same method for calculating child support for a qualifying child. It is the parent's care cost percentage for the dependent child multiplied by the appropriate amount taken from the child expenditure table for that child based on the adjusted taxable income, less living allowance, of that parent alone. The amount of the allowance is determined by the formula:

$$c\% \times e \div n$$

where:

- c%** is the care cost percentage of the parent in relation to the dependent child (if the child was a qualifying child)
- e** is the amount determined by child expenditure table for the dependent child on the basis of:
 - # the child support income amount of the parent alone, with that amount being treated as the adjusted taxable income of the parent, minus the parent's living allowance
 - # the total number of the parent's dependent children, and
 - # the age group of those children
- n** is the total number of the parent's dependent children.

Multi-group allowance

A multi-group allowance is deducted from a person's adjusted taxable income for those parents who have multiple child support liabilities with different parents. The multi-group cost for each child is calculated

according to their age and how much it would cost if all the children were living with the person. The calculation is based on the person's adjusted taxable income less their living allowance and any dependent child allowance. This amount of child support income is then used to determine the cost of raising each child by using the child expenditure table and the relevant age bracket.

Multi-child cap

The amount of child support liability of a parent can be capped where a parent has qualifying children in more than one child support group. This is referred to as the multi-group cap. The purpose of the multi-group cap is to avoid liable parents paying more in child support than they would pay if all the children for whom they are liable to pay child support were living together. The multi-group cap for a child is the amount determined as:

$$(100\% \# c\%) \times m$$

where:

c% is the parent's care cost percentage in relation to the child

m is the multi-group cost of the child.

Income percentage

As stated above, a parent's income percentage is determined by dividing the person's child support income amount by the sum of the child support income amounts of all the parents of that child. Having followed the steps above to determine a parent's child support income amount (their adjusted taxable income less the living allowance and any dependent child and multi-group allowances), the parent's income percentage can now be determined. The person's income percentage is calculated by dividing their child support income amount by the combined child support income amounts of all parents of that child.

Example:

Anna and Steve are both currently working full-time. Anna earns \$62,131 a year before tax, and Steve earns \$47,985 a year before tax. Neither is entitled to a dependent child or multi-group allowance. Their income percentages are calculated as follows:

Calculation	Anna	Steve
Taxable income	\$62,131	\$47,985
Less living allowance	\$29,909	\$29,909
Child support income	\$32,222	\$18,076

Anna and Steve's combined child support income is \$50,298. Their percentage share of the combined child support income is:

Income percentage	64.06%	35.94%
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Care percentage — ongoing daily care

The Commissioner must establish the proportion of ongoing daily care for a qualifying child. Shared care for child support purposes is currently set at a minimum of 28% of nights during the year. This equates to 2 nights per week on average. For this purpose, a year is assumed to be 365 days. The Commissioner must rely on the content of any care order or agreement relating to a qualifying child when establishing the proportion of ongoing care. This may be challenged by a parent or carer if they have evidence that the care order or agreement should not be relied upon.

If there is no care order or agreement, the Commissioner must establish the proportion of care primarily on the basis of the number of nights that the child spends with a carer. If the number of nights is not a true reflection of the proportion of care actually provided by a carer, the Commissioner can use the amount of time that the carer is the person responsible for the daily care of the child. To be a receiving carer, a person

must have at least 35% of ongoing daily care. This means that there can be no more than 2 receiving carers for a qualifying child at the same time.

Care cost percentage

The care cost percentage signifies the share of costs incurred by the parent in supporting the care of the child. The care percentage, discussed above, is converted into a care cost percentage using the table from [Sch 2](#) of the CHS, set out below. The table has a tiered series of thresholds. A proportion of care less than 28% gives rise to a cost care percentage of 0%. On the other hand, where the proportion of care is 73% or more, the cost care percentage will be 100%.

Proportion of ongoing daily care	Care cost percentage
0% to 27%	0%
28% to 34%	24%
35% to 47%	25% plus 2% for each percentage point over 35%
48% to 52%	50%
53% to 65%	51% plus 2% for each percentage point over 53%
66% to 72%	76%
73% to 100%	100%

Example:

Jane's proportion of ongoing daily care (her care percentage) is 32%. Her care cost percentage is 24%. John's proportion of ongoing daily care is 39%. His care cost percentage is 33%.

Income percentage less care cost percentage

Once a parent's income percentage and care cost percentage have been determined, the first part of the formula ($i\% - c\%$) can be calculated. Subtracting the care cost percentage from the income percentage for each parent gives the child support percentage. This result determines whether the parent is eligible to receive or liable to pay child support as follows:

- # If the result is a negative percentage, that parent is a receiving carer. If the amount of ongoing daily care is 35% or more, the person is eligible to receive child support.
- # If the result is a positive percentage, that person is a liable parent. If the amount of ongoing daily care is 65% or less, the person will be required to pay child support.
- # If the result is a nil percentage, the person is a liable parent. If the amount of ongoing daily care is under 28%, the person will be required to pay child support.
- # Note that a parent whose income percentage and care cost percentage are both 100% is a receiving carer.

For liable parents required to pay child support, the amount of child support payable will be the positive child support percentage multiplied by the child expenditure amount.

Child expenditure amount

The amount of child support payable by a parent is based on the estimated average cost of raising a child in New Zealand. The cost associated with raising a child differs depending on the child's age, the total number of children and the combined income of both parents. The child expenditure amount reflects the cost of raising children. It is set as a percentage of income and differs based on the level of income. As incomes rise the percentages decline to reflect that the proportion of income spent on children declines as income rises.

The child expenditure table is published on the [IR website](#). The amounts will be updated on an annual basis. The amounts for the 2026 child support year are as follows:

Age group: Children aged 0 –12

Income range	1 child	2 children	3 or more children
\$0.00 to \$41,244	17 cents for each dollar	24 cents for each dollar	27 cents for each dollar
\$41,245 to \$82,489	\$7,011 plus 15 cents for each dollar over \$41,245	\$9,899 plus 23 cents for each dollar over \$41,245	\$11,136 plus 26 cents for each dollar over \$41,245
\$82,490 to \$123,733	\$13,198 plus 12 cents for each dollar over \$82,490	\$19,385 plus 20 cents for each dollar over \$82,490	\$21,860 plus 25 cents for each dollar over \$82,490
\$123,734 to \$164,977	\$18,147 plus 10 cents for each dollar over \$123,734	\$27,634 plus 18 cents for each dollar over \$123,734	\$32,171 plus 24 cents for each dollar over \$123,734
\$164,978 to \$206,222	\$22,271 plus 7 cents for each dollar over \$164,978	\$35,058 plus 10 cents for each dollar over \$164,978	\$42,070 plus 18 cents for each dollar over \$164,978
\$206,223 and over	\$25,158	\$39,182	\$49,494

Age group: Children aged 13 and over

Income range	1 child	2 children	3 or more children
\$0.00 to \$41,244	23 cents for each dollar	29 cents for each dollar	32 cents for each dollar
\$41,245 to \$82,489	\$9,486 plus 22 cents for each dollar over \$41,245	\$11,961 plus 28 cents for each dollar over \$41,245	\$13,198 plus 31 cents for each dollar over \$41,245
\$82,490 to \$123,733	\$18,560 plus 12 cents for each dollar over \$82,490	\$23,510 plus 25 cents for each dollar over \$82,490	\$25,984 plus 30 cents for each dollar over \$82,490
\$123,734 to \$164,977	\$23,509 plus 10 cents for each dollar over \$123,734	\$33,821 plus 20 cents for each dollar over \$123,734	\$38,357 plus 29 cents for each dollar over \$123,734
\$164,978 to \$206,222	\$27,633 plus 9 cents for each dollar over \$164,978	\$42,070 plus 13 cents for each dollar over \$164,978	\$50,318 plus 20 cents for each dollar over \$164,978
\$206,223 and over	\$31,345	\$47,432	\$58,567

Examples of application of the formula assessment

The following examples show how child support is calculated in 2 different situations (examples adapted from *Tax Information Bulletin* [¶255-102 Vol 25, No 5](#), June 2013 at 8, and based on 1 April 2025–31 March 2026 figures):

Example: Insufficient shared care

Paul and Ally have recently split up. They have 2 children, Dylan aged 10 and Nathan aged 6. Ally is the main carer for Dylan and Nathan and she is not in paid employment. She receives a benefit from Work and Income for herself and the children. When Work and Income granted Ally a benefit she was required to apply for a child support assessment.

Paul spends time looking after his children but this is not enough to be recognised for child support purposes. Ally receives a benefit of \$28,612 a year before tax. Paul is currently in full time employment and earns \$72,610 a year before tax.

Calculation	Ally	Paul
Taxable income	\$29,909	\$72,610
Less living allowance	#\$29,909	#\$29,909
Child support income	\$0	\$42,701

Ally and Paul's combined child support income is \$42,701 and this will be used to calculate child support liability.

Income percentage	0%	100%
Care cost percentage	100%	0%
Income percentage less care cost percentage	#100%	100%

Because Paul's income percentage less care cost percentage is positive, he is assessed as the liable parent, and is required to pay 100% of the annual cost of raising Dylan and Nathan. The annual cost of raising Dylan and Nathan based on Ally and Paul's combined child support income and using the expenditure on children table is \$10,233.88.

Paul's liability is $\$10,233.88 \times 100\% = \$10,233.88$.

Paul is assessed to pay an annual amount of \$10,233.88 or \$852.82 per month, for the care of Dylan and Nathan. Because Ally receives a sole parent benefit, this payment will be used to help cover the cost of this benefit.

Note: The child expenditure amount is calculated as: $\$9,899 + [(\$42,701 - \$41,245)] \times 0.23 = \$10,233.88$.

Example: Sufficient shared care

Liam and Kirsty are separated. Together they have 2 children, Joshua aged 13 and Olivia aged 10. They have always agreed to share the responsibility of caring for their children. Joshua and Olivia both spend alternate weeks (Monday to Friday) at each parent's house, but they spend every weekend and the school holidays with Liam.

Liam has care of the children for 65% of the time and Kirsty has them for the remaining 35%. Because both Kirsty and Liam look after their children for more than 28% of the time, these percentages will be used when working out the child support assessment.

Calculation	Liam	Kirsty
Taxable income	\$53,660	\$50,800
Less living allowance	#\$29,909	#\$29,909
Child support income	\$23,751	\$20,891
Liam and Kirsty's combined child support income is \$44,642.		
Income percentage	53.20%	46.80%
Care cost percentage	75%	25%
Income percentage less care cost percentage	#21.80%	21.80%

Because Kirsty's income percentage less care cost percentage is positive, she is assessed as the liable parent, and is required to pay 21.80% of the annual cost of raising Joshua and Olivia. The annual cost of raising Joshua and Olivia based on Liam and Kirsty's combined child support income and using the expenditure on children table is \$11,796.24.

Kirsty's liability $\$11,796.24 \times 21.80\%$ is \$2,571.58.

Kirsty is assessed to pay an annual amount of \$2,571.58 or \$214.30 per month, for the care of Joshua and Olivia.

Note: To work out the care cost percentages, see the table above under the heading "Care cost percentage". The child expenditure amount is calculated as: $((\$9,899 + ((\$44,642 - \$41,245) \times 0.23))/2) + ((\$11,961 + ((\$44,642 - \$41,245) \times 0.28))/2) = \$11,796.24$

Note: To calculate per child expenditure values when there are at least 2 children in the same child support calculation, and those children fall into different age groups, use the following methodology:

- # first use the "Children aged 0 – 12" table using the total number of children then dividing the result by the number of children. This gives a per child expenditure value for each child aged 12 and under
- # then use the "Children 13 or over" table again using the total number of children then dividing the result by the number of children. This gives a per child expenditure value for each child aged 13 and over.

Minimum child support liability

There is a minimum amount of child support to pay, even if the liable parent has little or no income. The minimum amount is revised each year. It is calculated as the minimum liability for the immediately previous tax year adjusted by the movement in the Consumers Price Index for the year ending with the December quarter before the tax year to which the increase will apply.

The minimum child support liability for the assessment period to 31 March 2025 was \$1,150 pa and it increased to \$1,175 pa for the period to 31 March 2026.

There is an online calculator available on IR's website at ird.govt.nz/childsupport.

Election to estimate income

Any person can elect to provide an estimate of income if they expect their current year taxable income will be 85% or less of their original adjusted income. An estimate can be made for the whole child support year or at any time during the year. This is called an "election period". This option to estimate income is not available to child support liabilities determined by court orders or under voluntary agreements.

Example:

Bob earned \$40,000 employment income in the previous year but will earn only \$20,000 this year. Bob can apply to IR to have his child support assessed on \$20,000, because it is at least 15% less than the taxable income that would otherwise be used for his child support assessment.

A person can estimate their income if:

- # their year-to-date income, if any, plus estimated income has reduced by 15% or more from their original adjusted income, and
- # they make an estimate during the child support year, and their "annualised estimated income" is less than their original adjusted income.

"Annualised estimated income" means the income expected to be earned during the election period converted to an equivalent annual figure (the income they would have received if the election period had been for 12 months). Thus, the formula for calculating the annualised estimated income where the estimate does not cover a full child support year is:

$$a \div b \times 365$$

where:

- a** is the person's estimated taxable income for the election period
- b** is the number of days in the election period.

Example:

Joanne changes jobs in November and her income reduces. She was assessed using her original income of \$55,000 and decides to estimate. She needs to earn \$46,750 or less for the year to be able to estimate.

Joanne's year-to-date income for 1 April to 30 October is \$25,000 and she expects to earn a further \$15,000 from 1 November to 31 March. As the total of \$40,000 (\$25,000 + \$15,000) is less than \$46,750 she may be able to estimate.

Joanne's annualised estimated income for 1 November to 31 March (151 days, the election period) must also be less than the original income used in her assessment before she can estimate.

Applying the annualisation formula, Joanne's annualised estimated income is \$36,258.28 (\$15,000 ÷ 151 × 365). This is less than her original income of \$55,000 so she can estimate.

IR will use Joanne's annualised estimated income of \$36,258.28 in her assessment from 1 November to 31 March.

The Commissioner cannot accept an estimate if:

- # the person has estimated their income for a previous child support year, and
- # the person was required to file a tax return for that year and has not, and
- # the due date for filing the return has passed
- # the person's adjusted income or child support income has been set by a departure order or an administrative review
- # a receiving order has been made in relation to the person's child support debt

- # the person has estimated within the last 3 months and the new estimate changes their annualised estimated income by \$500 or less
- # the election notice is given after the child support year to which it relates, and there was an earlier election made for that year
- # the person's annualised estimated income is more than their original adjusted income.

An application for an estimate can be made to IR using form IR104, by telephone or through the person's myIR secure online services account. The Commissioner may require the application be accompanied by information and evidence that, in the Commissioner's opinion, is sufficient to support the person's estimate of income. Examples of suitable evidence would be new pay slips showing the reduced income or a letter from the person's employer or accountant advising the reduced income details.

Newly liable parents may backdate their estimations as long as the estimation is made within 28 days of the notification of assessment. Estimations can be made in the current child support year. For newly liable parents, the ability to re-estimate in a year is available. Once the period has ended IR can decline subsequent backdated estimations.

End-of-year reconciliation

After the end of the child support year, the person's actual earnings are compared with their estimate and a square-up assessment is made. If the person has overpaid child support, they will generally receive a credit towards the following year's child support. A refund of the credit may be available in some circumstances. If the person has underpaid child support, they will have 30 days to pay the difference. Where a person has received too much child support, it may be collected back from them. If they have not received sufficient child support, they will receive the amount owing once it has been collected by IR from the liable parent.

Note that the definition of "reconciliation period" has been amended to allow backdated estimations within a current child support year. Simultaneously an amendment was made to the definition of "election period". The purpose of the amendments is so that the rules and the START system align to ensure that child support changes can be effected as efficiently as possible and enables IR to deal with backdated estimations that span multiple child support years.

Further information on estimation

For further information on estimating income for child support purposes, see IR leaflet [IR151](#), "Estimating your income" (July 2022), and IR booklet [IR100](#), "Helping you to understand child support" (April 2025).

Amendments to assessments

Section [87](#) of the CHS gives the Commissioner a wide discretion to amend any assessment at any time where it is considered the changes are necessary to give effect to the Act. The amendments can apply to assessments for the current child support year, a future year or to past years.

Standard practice statement, [SPS 16/02](#), "Child support and domestic maintenance — amendments to assessments" applies from 30 May 2016 and sets out how the Commissioner will exercise the discretion under s [87](#) to amend assessments. This includes assessments the Commissioner makes as a result of a voluntary agreement entered into by parties. The SPS does not apply to requests to depart from the formula assessment of child support. That is covered by the administrative review procedure ([¶12-020](#)).

The SPS states that the practice now is for the Commissioner to consider the circumstances of individual cases before making changes to past years. The SPS states that the Commissioner is to consider all amendment requests made by parents or carers and errors identified by IR staff. Before an assessment is amended, the amendment must be considered necessary to give effect to the CHS. When considering whether an assessment should be amended, the Commissioner will consider the principles set out in the SPS. Not all assessments will necessarily be amended.

Change in family circumstances

IR may backdate an assessment to correct for certain living circumstances that did not exist at the time of an initial assessment under s [81A](#). In order to support the fact that the relevant circumstances existed at the time of the initial assessment, the notification must be accompanied by relevant documentation demonstrating the change in family circumstances.

Law: CHS ss [14–17](#), [28–36D](#), [40](#), [44](#), [44A](#), [81A](#), [72](#), [87](#), [152B](#)

Last reviewed on 31 December 2025

Departure from the child support formula assessment [¶12-020]

[¶12-020]

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In certain circumstances, the Commissioner may make a determination allowing a departure from the formula assessment for calculating child support ([¶12-015](#)). The determination process can be commenced at the request of any liable parent or receiving carer of a qualifying child, or by the Commissioner.

The procedure is known as an “administrative review” and involves a hearing with an independent review officer. The procedures are similar to the process for a Family Court departure order.

Applications for child support review by liable parents or receiving carers

Liable parents or receiving carers of qualifying children may make applications for an administrative review of child support where they consider special circumstances exist to depart from the standard formula calculation. All applications for administrative review must be in writing, stating the grounds on which the application is made. All other parties to the child support assessment are advised of the application and have the right to reply, confirm or contest any details given by the applicant and the right to attend the hearing.

The Commissioner can make a determination varying the amount of child support payable when:

- # at least one of the special circumstances set out in s [105\(2\)](#) of the CHS is satisfied
- # it is “just and equitable” for the child and all parties to the application that a determination be made (*L v W* ([1994](#) [16 NZTC 11,279 \(CA\)](#)), and
- # it is “otherwise proper” that a determination be made (*C of IR v Cutbush* ([1994](#) [16 NZTC 11,307](#))).

Section [105\(2\)](#) is an exhaustive list of the special circumstances that are able to be considered as grounds for a determination by the Commissioner or a Family Court departure order. The special circumstances all focus on economic considerations. The special circumstances covered by s [105\(2\)](#) are as follows:

- # Where either parent’s ability to provide financial support is significantly reduced because of a duty to maintain another child or person, or the special needs of such a child or person, or the parent’s commitments to support themselves or another child or person.
- # Where the costs of maintaining the child are significantly affected because of costs to enable access to the child being more than 5% of the year’s adjusted taxable income, or the special needs of the child, or the education or training of the child.
- # Where the formula assessment would result in an unjust and inequitable result for the liable parent because of the income, earning capacity, property and financial resources of either parent or the child, or a previous transfer or settlement of property, or the entitlement of the liable parent or receiving carer to continue to live in a property in which the liable parent or receiving carer still has a financial interest.
- # Where the formula assessment would result in an unjust and inequitable result for the liable parent because the adjusted taxable income of a parent includes income from relevant additional work (being work done within 3 years of the parents ceasing to live together that is additional to that done before separation) and some or all of that income is used to re-establish that person. The 3-year period excludes periods of resumed cohabitation with the motive of reconciliation if in aggregate they do not exceed 3 months.

Note that the amount an order made on this ground excludes from the parent’s adjusted taxable income cannot exceed the lesser of the following:

- # the amount of income from the additional work that is used, or will be used, by the parent for re-establishment costs

30% of the parent's adjusted taxable income.

Where it would be just and equitable to offset one liability against another where 2 persons are liable to pay each other under a formula assessment or a voluntary agreement.

Some examples of circumstances that the courts have considered do not meet the requirements of s [105\(2\)](#) are as follows:

A liable parent having insufficient income to meet outgoings, unless there is something more to take the case out of the ordinary (*B v C of IR* ([1993](#)) [15 NZTC 10,015](#)).

Factors such as responsibility for the pregnancy, lack of contact between the parents, and lack of contact between the child and the liable parent have no relevance in deciding the amount of child support. In addition, the income and financial position of a child's step-parent do not amount to the requisite special circumstances and are not relevant considerations (*L v W* ([1994](#)) [16 NZTC 11,279 \(CA\)](#)).

The provision of an interest-free loan to the custodial parent by a liable parent did not create a situation in which it was unjust or inequitable for the liable parent to contribute, or in which special circumstances existed (*Hudson v C of IR* ([1996](#)) [17 NZTC 12,594](#)).

The special circumstances have to be abnormal or unusual. It is not enough for the applicant to point to some degree of hardship. In a marriage break-up, the existence of hardship is commonplace (*C of IR v Short* ([1995](#)) [17 NZTC 12,029](#)).

A departure order can be made where the court is satisfied that a trading structure or trust is being utilised to reduce a liable parent's assessable income (*F v S HC Christchurch CIV-2010-409-20979*, 29 September 2011 and *B v X* ([2011](#)) [25 NZTC ¶20-034](#)).

If a review officer considers that the issues raised by the application are too complex to be dealt with under the administrative review procedure, the officer may recommend that application be made to the Family Court for an order (see below).

For more information see IR booklet [IR175](#), "Helping you to understand child support reviews" (July 2023). Application for an administrative review can be made using an [IR470](#) form or via MyIR.

Applications by the Commissioner

The Commissioner may initiate a review of a formula assessment of child support if, by virtue of special circumstances, the child support assessment would be unjust and inequitable because of the income, earning capacity, property and financial resources of either parent or the child, and it would be just and equitable and otherwise proper to do so.

A Commissioner-initiated review generally consists of the following stages:

In the first instance, the Commissioner identifies that a parent (the subject parent) may be able to pay more child support than they are assessed for based on their financial circumstances.

The Commissioner will then notify the subject parent that a determination may be appropriate, including a statement of the reasons why the Commissioner considers a determination may be appropriate, and advise them that they may make a written response.

After considering any response from the subject parent, the Commissioner must then decide whether to start proceedings for an administrative review. If the review process is started, notice to that effect is given to the subject parent and any other parties involved. The other parties have the option of participating in the review process or stopping the review process. Only those other parties not receiving a social security benefit can stop the review. The subject parent and any other parties that elect to participate in the process will be asked to provide details of their income, assets and financial position, any information provided will be shared between them.

IR organises the review process, but the actual review is undertaken by an independent review officer appointed by IR (as for applications by the liable parent or receiving carer above).

Departure order by Family Court

The Family Court also has the jurisdiction to make an order for a departure under the formula assessment, but applications for such orders can be made only when:

- # the Commissioner has already made a determination
- # the Commissioner has refused to make a determination, or
- # another application involving the liable parent or the receiving carer is before the Family Court and it is appropriate to hear the 2 matters together.

See IR booklet [IR174](#), "Helping you to understand child support and the Family Court" (August 2020).

A departure order does not also allow for the making of an order to quash or remit child support payments that are in arrears (*C of IR v District Court at Waitakere* ([2005](#)) [22 NZTC 19,088](#)).

In limited circumstances, a departure order can be applied retrospectively (*B v X* ([2011](#)) [25 NZTC ¶20-034](#)).

Voluntary child support agreements

Parents can enter into a voluntary child support agreement. Commonly these agreements are made outside of IR involvement and the quantum of child support is in excess of the formula assessment amount. Recently the interaction between family law and the child support rules were brought before the High Court.

In *Holden v Holden* ([2022](#)) [30 NZTC ¶25-026](#), the court was asked to consider the legal issue of the extent to which a voluntary agreement relating to child support payments, entered under a s [21A](#) separation agreement, must yield to a formula assessment under the CHS. The applicant, Mrs Holden, and the defendant, Mr Holden, had entered into a voluntary agreement under their s [21A](#) agreement that agreed that \$8,000 per month would be paid for child support. For 2 years Mr Holden paid the voluntary amount. He then applied to IR for application of the formula assessment based on his changed circumstances. The Commissioner assessed his child support liability to be \$2,240.70 per month. This is the amount he paid from then on.

Mrs Holden applied for summary judgment of backpay of the shortfall between the \$8,000 per month child support as agreed in the separation agreement and the formula assessment amount. Mr Holden claimed he agreed to the amount of child support under the voluntary agreement only on the basis that he could, at any time, seek a formula assessment from IR.

The court stated that the argument amounts to a claim that the parties can contract out of the CHS and, in particular, the statutory right to apply for a formula assessment. The court held that all agreements to pay child support must be reached in the shadow of the CHS and declined the applicant's application.

Law: CHS Pts [6A](#), [6B](#), [7](#), ss [104–106B](#)

Last reviewed on 31 December 2025

Notification, objection and collection of child support [¶12-025]

[¶12-025]

[Click to open document in a browser](#)

Notice of assessment

The Commissioner must send a notice of assessment to each parent and receiving carer for each child support year and after making any assessment that changes the amount of child support payable. The notice must contain, as a minimum, the relevant matters identified in s 88A, but note that a notice may not reveal any more detail about a parent or a carer than their name and the person's proportion of care and care cost percentage. The notice must contain sufficient information to enable the recipient to exercise their rights of objection in relation to the assessment and their right to apply to the Commissioner for a determination under the administrative review procedure.

A notice of assessment must specifically draw the attention of the recipient to the 28-day time limit for advising the Commissioner of any living circumstances that existed at the time when the assessment was made but that appear not to have been taken into account by the Commissioner.

Payment of child support

A person liable to pay child support is entitled to choose the method of payment but, if they default, payments will have to be made by automatic deduction. If the person is a beneficiary, Work and Income deducts the child support payments before paying the benefit. Any amount of child support payable is a debt to the Crown. Child support is due and payable on the 20th of the month following the day it relates to.

See [¶12-060](#) for a discussion of penalties on unpaid child support.

Objections

An objection can be made within 28 days from the date of the notice of an assessment. The Commissioner also has the discretion to accept a late objection.

Standard practice statement [SPS 10/03](#), "Acceptance of late objections under section 92(2) of the Child Support Act 1991" sets out the Commissioner's policy on the acceptance of late objections to assessments or decisions.

[SPS 10/03](#) sets out a 2-step approach in considering late objection requests. Under the first step, the Commissioner will consider the objector's explanation for the lateness of the objection. A reasonable explanation is all that is required at this stage. Under the second step, the Commissioner will consider all the surrounding circumstances and decide whether, as a matter of fairness, the application should be allowed. An appendix to the standard practice statement sets out some of the factors that may be relevant in considering a late objection request under step 2 of the process. These factors are guidelines only and are not exhaustive.

Factors that may support the acceptance of a late objection include:

- # the apparent merit of the objection
- # the objector being absent during the 28-day objection period, and
- # the objector falling ill.

Omitting to lodge an objection because of an oversight by the objector or the objector's advisor will not generally provide grounds for the Commissioner to exercise their discretion to accept a late objection.

There are no appeal or objection rights under the CHS if the Commissioner does not exercise their discretion to accept a late objection. However, the decision can be challenged by way of judicial review to the High Court.

Grounds for objection

The only grounds on which an objection to an assessment of child support may be made are that:

- # the annual or monthly rate of financial support specified in the assessment has not been correctly calculated in accordance with the CHS
- # the assessment has incorrectly determined the days for which financial support is payable, or
- # an annual rate of financial support specified in the assessment is not correctly assessed because the Commissioner has failed to give effect to a provision of the Act in relation to the assessment.

Law: CHS ss [88](#), [88A](#), [91](#), [92](#), [129–133](#)

Last reviewed on 31 December 2025

Child Support (Reciprocal Agreement with Australia) Order 2000 [¶12-027]

[¶12-027]

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The Child Support (Reciprocal Agreement with Australia) Order 2000 applies when either the receiving carer or the liable parent lives in Australia and the other parent lives in New Zealand. The types of payments covered by the Order are:

- # formula-based child support
- # voluntary arrangements, and
- # court-awarded child and domestic maintenance.

Briefly, the Order allows the governments of Australia and New Zealand to:

- # enforce payment of child support and domestic maintenance owing in the other country, and
- # supply each other with details of liable parents' income and their addresses.

Only the country in which the receiving carer and child live has the jurisdiction to issue assessments and make court orders.

As a general rule, where a liable parent is living in Australia and they are meeting their child support liabilities in New Zealand, the case will not be referred to Australia for collection. A liable parent can continue making payments directly to the New Zealand IR from Australia. The liable parent's New Zealand child support liability will be calculated based on their overseas income and any New Zealand income ([¶12-030](#)).

Last reviewed on 31 December 2025

Liable parents for child support with overseas income

[¶12-030]

[¶12-030]

[Click to open document in a browser](#)

When assessing a parent's income, the Commissioner can include overseas income earned by that person, even if they are not resident in New Zealand for income tax purposes.

If IR has accepted an application for a formula assessment for a parent who is living outside New Zealand, the parent's income for the purposes of the child support formula calculation is their combined overseas income and New Zealand income. The overseas income is converted to New Zealand dollars and may be adjusted for inflation ([¶12-015](#)).

Many overseas parents will receive an annual letter from IR requesting details of their income for child support purposes.

Law: CHS s [39A](#)

Last reviewed on 31 December 2025

Refunds and transfers of child support [¶12-038]

[¶12-038]

[Click to open document in a browser](#)

In cases where a person has overpaid child support payments to the Commissioner, the person can request a refund either verbally or in writing. So long as the person does not have any current or future liability to make further payments of child support, the Commissioner must refund the overpayment. If the refund is less than \$5 and no request for a refund is made within 12 months of the person being entitled to it, the refund is transferred to the person's tax account.

From 9 April 2020, all refunds must be made by way of direct credit to the liable person's nominated bank account, unless this would result in undue hardship or is not practicable.

Overpaid child support cannot be transferred out of the liable person's child support account under the tax transfer provisions in the Tax Administration Act 1994 (TAA).

Law: CHS ss [216](#), [216A](#); TAA ss [173U](#), [184A](#)

Last reviewed on 31 December 2025

Child support may constitute a charge [¶12-039]

[¶12-039]

[Click to open document in a browser](#)

Unpaid child support may constitute a charge on the person's property under subpart 5 of Pt 3 of the Land Transfer Act 2017 and the Personal Property Securities Act 1999. This charge operates and takes priority according to the relevant registration Act.

Registration of a charge over property for unpaid child support after the registration of a mortgage but before an advance of money secured by the mortgage has priority over the mortgage.

The Commissioner must release the charge registered over the property when the unpaid child support is paid. A fee is not required to be paid by the Commissioner to either register or release a charge.

Law: CHS s [169\(4\)–\(7\)](#)

Last reviewed on 31 December 2025

Employers' responsibilities for child support — generally [¶12-040]

[¶12-040]

[Click to open document in a browser](#)

An employer or PAYE intermediary can be instructed by IR to deduct child support payments from the salary or wages of employees and pay the amount deducted to IR where that employee is in default of their child support obligations.

Usually, where child support deductions are required to be made by employers, the employer or PAYE intermediary will be contacted by IR to confirm the employee's employment details. When this information has been provided, IR will issue a "child support deduction notice". This notice requires the employer or PAYE intermediary to make child support deductions from the net pay of the employee. The notice contains the following information:

- # employee's name and IRD number
- # the pay day or pay period when deductions are to commence, and
- # amount to be deducted each pay day.

IR also sends a copy of the child support deduction notice to the employee.

Child support deductions have priority over any other deductions from an employee's net pay (including student loan repayments). After deducting PAYE, the employer must deduct child support before anything else.

If the amount of child support to be deducted changes during the year, IR will send another deduction notice that replaces the previous notice. The new notice will set out the new amount of child support to be deducted and the pay day on which the new deduction is to start.

From 26 October 2021, newly liable parents must pay child support payments by automatic deduction from their salary or wages (or by way of another appropriate means if the Commissioner considers automatic deduction inappropriate) (s [129A](#)).

Law: CHS Pt [10](#)

Last reviewed on 31 December 2025

Employees' protected net earnings for child support [¶12-045]

[¶12-045]

[Click to open document in a browser](#)

If an employee's child support payments are made by way of deductions from their salary and wages, the employee must be allowed to keep at least 60% of their net earnings to cover living expenses. Employers (and PAYE intermediaries) must not deduct the full amount of child support if this would leave the employees with less than 60% of their net earnings (ie an employer cannot deduct more than 40% of their employee's net earnings for child support). "Net earnings" are calculated as being the salary or wages remaining after deductions of tax, but before any other deductions are made for KiwiSaver, student loan repayments, insurance, etc. Thus, the protected net earnings only apply to child support. The other deductions must be made even if it is from the protected portion of the employee's earnings. If a child support shortfall arises, the employer should not make up that shortfall in the next pay. Instead, IR will follow up with the employee directly and arrange for the payment of the unpaid amount.

Example:

Full salary for the period is paid. The protected earnings are not affected.

	\$
Weekly wage	420.00
PAYE deductions	<u>60.74</u>
Net earnings	<u>359.26</u>
Child support deduction	<u>70.00</u>
Balance	<u>289.26</u>

60% of net earnings of \$359.26 is \$215.56. The employee's wage after deduction of child support is greater than \$215.56. Consequently, the full amount of child support (\$70) can be deducted.

Example:

Less than the full salary is paid for a pay period resulting in the protected earnings being affected. This is because the employee took three days' leave without pay in a week.

	\$
Weekly wage	168.00
PAYE deductions	<u>20.07</u>
Net earnings	<u>147.93</u>
60% of \$147.93	<u>88.76</u>
Balance	<u>59.17</u>

The child support deduction will be limited to \$59.17, since deduction of the full \$70 would leave the employee with less than 60% of his or her pay.

Liable parent has more than one employer

Liable parents who have more than one employer have the option of having their total child support liability deducted from one source, even if it would result in net earnings of less than 60%. Employers can disregard

the protected net earnings of 60% when the liable parent has more than one employer, provided the total deductions made by all the liable parent's employers do not exceed 40%. In such cases, the Commissioner will advise the employer to disregard the protected net earnings provisions.

Law: CHS ss [165](#), [166](#)

Last reviewed on 31 December 2025

Paying child support deductions [¶12-050]

[¶12-050]

[Click to open document in a browser](#)

Employers (or PAYE intermediaries) pay any child support deductions when they pay their PAYE and other deductions — ie on the 20th of each month or, for large employers, on the 5th and 20th of each month ([¶13-020](#)). The details of the child support deductions made are included in the employment income information an employer must provide ([¶13-023](#)). Failure by an employer to pay child support deductions may result in IR imposing a penalty on the employer ([¶12-060](#)).

Records

An employer must keep all relevant records for at least 7 years.

Law: CHS ss [163](#), [168](#)

Last reviewed on 31 December 2025

Child support variation codes [¶12-055]

[¶12-055]

[Click to open document in a browser](#)

If the actual amount of child support deducted differs from that stated in the child support deduction notice, it is necessary to give the appropriate code on the employment information form ([IR348](#)). There are 6 codes:

- # A (payment in advance) — if an employee is paid in advance (eg they will be on holiday on the next pay day), the amount deducted will be in excess of the amount required to be deducted for a particular pay period (all the deductions will be paid to IR by the 20th of the following month (or, for a large employer who has made an election, on the 5th and 20th of the following month) and a reason for variation will need to be filed with this code)
- # C (employee ceased employment) — if an employee leaves employment, an employer only has to deduct child support for the last full pay period during which the employee was employed, including any holiday pay owed (this code does not apply if the employee stops and restarts working with the same employer within the same month — in that case, use O below)
- # D (previously deducted) — where child support has been deducted from a previous pay
- # P (protected earnings) — where child support has not been deducted because the protected earnings ([¶12-045](#)) would be affected
- # S (short-term absence) — where an employee is on leave without pay for a short period of time and an employer is unable to deduct any, or all, of the child support amount, and
- # O (other) — if child support has not been deducted or the amount deducted is different from what is expected and none of the above codes apply.

Last reviewed on 31 December 2025

Child support offences and penalties [¶12-060]

[¶12-060]

[Click to open document in a browser](#)

Late payment penalties

If IR does not receive payments of child support by the due date, late payment penalties will be charged.

The objective of child support penalties was to provide an incentive for parents to meet their obligations. However, an overly punitive and complex penalty regime can have the reverse effect. Research undertaken by IR showed that customers felt that the penalty rules were overly harsh. The compounding nature of incremental penalties and the accruing debt could result in liable parents disengaging with their child support obligations. Therefore, the penalty write-off rules have been simplified.

An initial penalty of 2% is payable on the day after the due date and then a further 8% if the amount remains outstanding 7 days after the due date. Before 1 April 2021, a monthly incremental penalty of 2% was then payable on the balance outstanding every month, but this reduced after one year to 1% where an amount remained unpaid or not under a payment agreement.

In addition, from 1 November 2021, a grace period for late payment penalties of 60 days from the first due date during which a newly liable person, or a person returning to the child support scheme (s [134AAA](#)).

Relief from late payment penalties

From 1 April 2021, the Commissioner may write off a penalty if the Commissioner is satisfied that any of the following situations apply:

- # there was a “reasonable cause” for the delay in payment and the liable parent remedied this as soon as practicable. A “reasonable cause” for a delay means an event or circumstance beyond the control of the liable parent, including a serious illness, accident or disaster, that caused a reasonable delay in payment in the Commissioner’s opinion
- # the delay in payment was due to, or caused directly or indirectly by, the failure of a person to make a deduction required to be made under Pt [10](#) of the CHS, the liable parent has taken reasonable action to mitigate those circumstances, and it would be fair and reasonable to grant relief
- # the delay in payment was a result of an honest oversight by the liable parent, who paid the debt as soon as they discovered the oversight and who had no previous history of default in payments
- # it is an inefficient use of IR’s resources to collect the penalty
- # the delay in payment was a result of an error made by IR upon which the liable parent acted in good faith and altered their position in reliance of the error and it would be fair and reasonable to grant relief
- # the payee has waived the right to the payment the penalty relates to or has taken over responsibility for collecting the debt the penalty relates to and it would be fair and reasonable to grant relief, or
- # recovery of the penalties would place the liable person in serious hardship.

The Commissioner also has the discretion to write off penalties imposed before 1 April 2021 if the Commissioner is satisfied it would be fair and reasonable to do so.

Standard practice statement

Standard practice statement, [SPS 19/05](#), “Options for relief from child support debt” replaced the previous [SPS 11/02](#), “Child support debt — Requesting an instalment arrangement”, with effect from 21 November 2019. The SPS sets out the Commissioner’s practice for providing relief when the immediate payment of an overdue child support or domestic maintenance obligation is not possible. Relief is provided in the form of an agreement to pay the debt in instalments, writing off penalties in certain situations or, in limited circumstances, writing off part or all of the child support debt.

Time bar

A 4-year time bar provision has been introduced for child support reassessments. Like the time bar provision for income tax assessments, the time bar does not apply where a liable parent has willfully or fraudulently supplied misleading information, or where income of particular nature or source has been omitted.

The 4-year time bar provision begins from the beginning of the child support year, rather than when notification of the assessment is given.

Offences

Failure to notify the Commissioner of the cessation of eligibility for an exemption from child support, a change in living circumstances or a change of address, falsifying records or obstructing an IR officer in carrying out their duties under the Act is an offence. Such offences carry a fine of up to \$2,000 on the first occasion, \$4,000 on the second occasion and \$6,000 on every subsequent occasion.

Anyone who aids, abets, incites or conspires with any other person to commit an offence under the Act is liable to a fine.

If the Commissioner has reasonable cause to believe that a liable person is about to leave New Zealand with the intention of avoiding paying child support, the Commissioner can make a request to the District Court for an arrest warrant for the liable person. The liable person must then be brought before the District Court as soon as possible. The court may make any one or more of the following orders:

- # that the liable person give security for the payment of child support
- # that the liable person not leave New Zealand without the written authority of the court, or
- # that the liable person surrender to the court any tickets or travel documents in their possession.

The procedural requirements relating to this process were considered by the High Court in *C of IR v C* (2004) 21 NZTC 18,629. If a person leaves, or attempts to leave, New Zealand without the Court's authority when an order not to do so is in force, they commit an offence and are liable to imprisonment for up to 3 months or a fine not exceeding \$2,000.

Information sharing rules between IR and the New Zealand Customs Service, which came into effect on 1 April 2009, assist IR to track the New Zealand movements of liable parents living overseas. If a liable parent living overseas is known to be visiting New Zealand, effective steps can be taken against that person to recover outstanding liabilities before the person leaves New Zealand again ([¶1-606](#) and [¶1-609](#)).

Penalties for offences by payers of child support

Payers other than employers who are required to make deductions of child support remain liable for criminal prosecution for an offence but are not liable to pay interest or civil penalties.

Criminal prosecution can bring about a penalty on conviction of up to \$25,000 for a first offence and up to \$50,000 thereafter.

Deductions in excess of protected net earnings

An employer may not deduct more than 40% of a liable person's ordinary net pay after tax (unless the liable person has more than one employer ([¶12-045](#))). If the employer makes a deduction in excess of protected net earnings, the employer commits an offence. The employer may then be liable for a fine of up to \$2,000 for the first offence, \$4,000 on the second occasion and \$6,000 thereafter.

Disclosing information

An employer and any employee or agent are prohibited from disclosing any information about an employee's child support obligations. This is subject to 2 exceptions. These are when the child support agency has

requested information and when an employer is required to supply the information as part of running their business. On conviction, an employer could be liable to a fine of up to \$15,000 for the first offence and up to \$25,000 thereafter.

Also see *C of IR v B* ([\(2001\) 20 NZTC 17,043](#)) regarding the disclosure of information under Pt [6A](#) of the CHS and under the Privacy Act 1993.

Discrimination against an employee

It is an offence under the CHS for an employer to discriminate against an employee or potential employee because of their child support obligations.

Law: CHS ss [134–135O](#), [170](#), [171](#), [172](#), [199](#), [208](#), [210](#); TAA ss [120B](#), [143A](#), [145](#), [157A](#)

Last reviewed on 31 December 2025

Child support exemptions [¶12-065]

[¶12-065]

[Click to open document in a browser](#)

There are 5 exemptions from the payment of child support. The exemptions are for:

- # for persons suffering from long-term periods of illness, (illness must exceed a period of 13 weeks) and if certain income criteria are met (see below)
- # long-term hospital patients (ie those who are hospitalised for a continuous period of 13 weeks or more)
- # long-term prison inmates (ie those who are imprisoned for a continuous period of 13 weeks or more)
- # liable parents under 16 years of age, and
- # victims of sex offences under the Crimes Act 1961.

To qualify for the long-term hospital patient or prisoner exemption, the liable parent has to apply to the Commissioner using the appropriate form ([IR105](#)) with an estimate of their income during the relevant period. Where that person's child support liability is calculated using the standard formula, the person must have either earned no income while a patient or prisoner, or their income must not have exceeded the relevant minimum weekly rate of child support during that period and be solely from investments or, in the case of a patient, their only income is a benefit. If they have a voluntary agreement or court order, the requirements are the same except that income earned from investments must average \$10 a week or less. For further information, see IR leaflets [IR154](#), "Child support — prisoners", and [IR148](#), "Child support — hospital patients".

The exemption for persons suffering from long-term period of illness applies if:

- # the person's income for that whole period, or that part, will be, or was, nil (or will be, or was, calculated only from income consisting solely of income from investments), and
- # the weekly income from investments will not exceed the minimum annual rate of support due (divided by 52) and if the period of illness is longer than a year, the annual income from investments does not exceed the minimum annual rate of support, and
- # the ill person could not engage in paid work, and
- # application for exemption has been made properly by submitting a form [IR105C](#) and made during the period of illness or within 3 months of the period of illness ending.

The exemption for liable parents under 16 years of age is a temporary exemption from making child support payments (until they turn 16) if the eligible parent's income during the exemption period is nil or is sourced solely from investments and does not exceed the relevant minimum weekly rate of child support (or is on average \$10 a week or less if paying under a voluntary agreement or court order).

The exemption for victims of sex offences is a permanent exemption from making child support payments.

From 27 June 2019, the Commissioner has the discretion to grant an exemption to the victim of a sex offence in cases when there is not a convicted offender. The Commissioner also has the discretion to determine the most appropriate start date for the exemption, provided the date is on or after 26 September 2006.

Law: CHS ss [89A–89ZE](#)

Last reviewed on 31 December 2025

Introduction to Working for Families Tax Credits [¶12-110]

[¶12-110]

[Click to open document in a browser](#)

The family scheme comprises a series of “tax credits” for families with dependent children and for low- and middle-income earning families, referred to by IR as “Working for Families Tax Credits” (WFF tax credits). The tax credits are actually refundable tax credits, which, if they exceed the person’s income tax liability, are able to be refunded to the taxpayer ([¶12-110](#) and [¶11-010](#)).

“WFF tax credits” comprise the following credits:

- # *family tax credit* — this is a credit of tax paid for each dependent child
- # *in-work tax credit* — this credit for families with dependent children is available to sole parents who work and couples that work
- # *minimum family tax credit* — this credit ensures a minimum annual family income for those families falling below the threshold where a sole parent works at least 20 hours a week and couples work at least 30 hours a week between them, and
- # *Best Start tax credit* — this credit provides a weekly amount per child to help with the costs in a child’s early years.

The family tax credit and the in-work tax credit are grouped together and abated as a family’s income increases, giving an amount referred to in the legislation as an “abating WFF tax credit”. Note that the Best Start tax credit also abates, but only in the second and third years, and it is not included within an “abating WFF tax credit”.

To calculate the amount of WFF tax credits that a person is entitled to receive, that person’s net income (or net loss) for tax purposes may need to be adjusted to take account of certain items that are not usually included when determining income for tax purposes. Accordingly, despite the system of taxpayer self-assessment, the Commissioner calculates WFF tax credits.

Refunds arising from the tax credits for families may be received at year-end upon filing an annual return, or by way of interim instalments paid either weekly or fortnightly. Payments are administered either by IR or, where eligible persons are in receipt of main benefits, the department responsible for the Social Security Act 2018, Work and Income New Zealand.

See also IR leaflet [IR201](#), “Working and raising a family?”, April 2025.

Law: IT07 subparts [MB–MG](#), [MZ](#), s [MC 1](#)

Last reviewed on 31 December 2025

Eligibility to receive WFF tax credits [¶12-120]

[¶12-120]

[Click to open document in a browser](#)

Eligibility to receive the family tax credit, the in-work tax credit, the Best Start tax credit and the minimum family tax credit (together referred to as “WFF tax credits”) depends on whether a person is the principal caregiver of a dependent child for an entitlement period in a tax year.

An entitlement period is an unbroken period during which all of the following criteria are met:

- # the person meets the qualifying criteria on each day of the period (see below)
- # the person's marital, civil union or de facto status remains the same
- # the person's status as a “principal caregiver” remains the same (see below)
- # the status of the child or children to whom the claim for family assistance relates as a “dependent child” remains the same (see below)
- # the composition of a WFF tax credit does not change, other than on the first or the last day of the eligible period, and
- # the person does not stop or start receiving the protected family tax credit (except on the first or last day as appropriate).

A taxpayer can have a number of entitlement periods within a specified period. For example, if one child in a family ceases to be dependent, there will be 2 eligible periods — the first up to the date of independence of the child, and the second from the date of independence to the following 31 March. Similarly, there will be different eligible periods if a taxpayer's relationship status changes, a new child is born, or the taxpayer becomes or ceases to be the principal caregiver.

Qualifying criteria

A person qualifies if that person:

- # is aged 16 years of age or over
- # is a principal caregiver of one or more dependent children
- # is—
 - # not a transitional resident (and is not the spouse, civil union partner or de facto partner of a transitional resident), and has been both resident and present in New Zealand for a continuous period of 12 months at any time and is tax resident in New Zealand on the date family assistance is claimed, or the dependent child being cared for is both resident and present in New Zealand, or
 - # from 1 April 2020, entitled to receive an emergency benefit under s 63 or 64 of the Social Security Act 2018 (see below)
 - # does not receive a parent's allowance continued by of Sch 1 cl 3 of the Veterans' Support Act 2014 or a children's pension under s 72 or 75 of that Act.

A person who receives a main benefit during the period will also not qualify for an in-work tax credit or minimum family tax credit.

A person will also not qualify for a Best Start tax credit if they receive a parental leave payment or preterm baby payment under Pt 7A of the Parental Leave and Employment Protection Act 1987.

A “New Zealand resident” is defined as a person who is ordinarily resident in New Zealand. A person who is unlawfully resident or lawfully resident by a visitor's permit, a temporary work permit or a tertiary study permit is excluded from being a resident.

For the purposes of calculating a WFF tax credit, a spouse, civil union partner or de facto partner does not include a separated person.

Principal caregiver

A “principal caregiver” is defined as a person who, in the Commissioner’s opinion, has the primary responsibility for the day-to-day care of a dependent child other than on a temporary basis. The principal caregiver does not need to be the dependent child’s parent. Excluded from the definition of principal caregiver is any unincorporated or corporate body of persons or any person who is a proprietor of or an employee in a home, institution or residence in which the child is cared for.

Example:

Peter is unable to look after his children as work commitments require him to travel extensively around the country. Accordingly, an arrangement has been made for his children to live with Peter’s sister in Australia. Peter sends money to his sister each week to meet the costs of care. The Commissioner considers that in such circumstances Peter does not fulfil the role of the children’s “principal caregiver” and consequently cannot be a person who qualifies for WFF tax credits. See *Tax Information Bulletin* ¶174-101 Vol 7, No 4, October 1995 at 22.

For the purpose of calculating the amount of WFF tax credits a person is entitled to in a specified period and, in particular, for determining a person’s eligibility for an in-work tax credit, the definition of a “principal caregiver” is extended. The extended definition operates to cover the situation where there is joint custody of dependent children between 2 qualifying persons (see further below).

Dependent child

A “dependent child”, for a child and a person, is a “child”:

- # whose care is the primary responsibility of the person
- # who is maintained as a member of the person’s family
- # who is financially dependent on the person
- # who is not a child for whom orphan’s benefit or unsupported child’s benefit is being paid, and
- # who is not a child for whom payments are being made under s 363 of the Oranga Tamariki Act 1989, or
- # who is a child for whom payments are being made under s 363 of the Oranga Tamariki Act and is a child or a young person, as defined in s 2(1) of that Act:
- # of whom the person is a parent within the meaning of that Act, and
- # to whom s 361 of that Act applies, and
- # who, under s 362 of that Act, is placed in the charge of the person.

For the purposes of the Best Start tax credit a dependent child will include a child for whom a person receives payments under s 363 of the Oranga Tamariki Act 1989 or an orphan or unsupported child benefit.

Child

A “child” is defined as a person who is not in a marriage, civil union, or de facto relationship and who is:

- # aged 15 years or under, or
- # aged 16 or 17 years and is not financially independent, or
- # aged 18 years and is a person for whom a credit of tax is allowed under s [MD 1](#) (abating WFF tax credits) or both ss [MD 1](#) and [ME 1](#) (minimum family tax credit). The Commissioner may allow a tax credit for a dependent child who reaches the age of 18 but is not financially independent and still attending a school or tertiary institution.

To be “financially independent”, the child will be:

- # in full employment (ie employed under a contract of service or apprenticeship for at least 30 hours a week on average, self-employed for at least 30 hours a week on average, or employed under a contract or award for any number of hours that is regarded as full-time employment)
- # in receipt of a student allowance
- # in receipt of payments under a government-assisted scheme analogous to benefits payable under the Social Security Act 2018 (see below)

in receipt of a benefit as defined in Sch 2 of the Social Security Act (eg a monetary benefit payable under the Social Security Act, and includes jobseeker support, sole parent support, orphan's benefit, unsupported child's benefit, supported living payment, emergency benefit, an incentive payment, a youth payment, a young parent payment, an accommodation supplement, winter energy payment, a child disability allowance, childcare assistance, temporary additional support and a disability allowance, or New Zealand superannuation or a veteran's pension), or

in receipt of New Zealand superannuation equivalent assistance or veteran's pension equivalent assistance.

Joint custody arrangements

When the parents of a dependent child live apart, the eligibility of each parent to receive a WFF tax credit depends on each parent's ability to qualify as a principal caregiver. Section [MC 10\(2\)](#) requires that for a separated person to qualify as a principal caregiver, that person must have exclusive care of the dependent child for at least one-third of:

- # a 4-month period, or
- # the tax year.

For example, if a parent has the child for only 2 days a week, they will not qualify as a principal caregiver.

When considering a separated person's eligibility for the in-work tax credit, the criteria relating to the care of that child are considered for the periods during which that parent has exclusive care of the child. That person must have the child in their exclusive care for periods totalling at least one-third of a 4-month period or the tax year. The periods of exclusive care do not need to coincide with the parent's entitlement period.

When a separated person is entitled to a WFF tax credit, only the family tax credit and the Best Start tax credit are apportioned on the basis of the time that a dependent child spends with another qualifying person during the entitlement period. If 2 people are eligible for an in-work tax credit in relation to a child, the amount of the credit that one person is entitled to is not affected by the other person's eligibility.

A person is required to immediately inform the Commissioner of any changes in the arrangements for the care of a dependent child that ends or will end that person's status as a principal caregiver.

Couples with different dependent children

In some cases, a couple will be married, in a civil union or de facto relationship and have dependent children from another relationship. In such cases, the Commissioner will determine which parent of that couple is entitled to the WFF tax credits.

QWBA

QWBA, [QB 16/01](#), "Income tax, Working for families tax credits — principal caregiver — dependent child — primary responsibility for day-to-day care — meaning of temporary basis" considers whether a person looking after a child on a temporary basis can become eligible to receive WFF tax credits. The item acknowledges that, to be eligible for WFF tax credits, a person needs to meet a number of requirements, including that they are the principal caregiver of a dependent child, and provides guidance on the "principal caregiver" and "dependent child" requirements. The item concludes that generally a person who is caring for a child on a temporary basis would not be eligible for WFF tax credits because they would probably not meet the principal caregiver requirement, and also the child would likely not be their dependent child.

Law: IT07 ss [MA 8](#), [MC 2–MC 11](#), [MD 4\(2\)](#), [YA 1](#) ("child", "dependent child", "financially independent")

Last reviewed on 31 December 2025

Calculation of family scheme income for WFF tax credits [¶12-125]

[¶12-125]

[Click to open document in a browser](#)

The amount of WFF tax credits available to a person is calculated on the basis of a person's "family scheme income". A person's family scheme income is their net income with adjustments as provided for in subpart [MB](#).

Income derived at a uniform daily rate

When calculating a person's family scheme income for a relationship period (ie an unbroken period in a tax year) for WFF tax credit purposes, income derived from employment, from a main benefit or from other sources is treated as having been derived at a uniform daily rate throughout the period of employment, period of receipt of the benefit or the income year, as the case may be. Similarly, any expenditure incurred in deriving the other sources of income is treated as having been incurred at a uniform daily rate throughout the income year.

Main benefit

A main benefit is any of the following:

- # sole parent support
- # emergency benefit
- # supported living payment
- # jobseeker support
- # young parent payment, and
- # youth payment.

Income for period greater than or less than 12 months

If a person is returning income for tax purposes for a period greater than or less than 12 months (usually because of a change in balance date), their family scheme income for that particular year will be adjusted using the following formula in s [MB 2](#):

$$\text{person's family scheme income} \times 365 \div \text{days}$$

where:

person's family scheme income is the person's income calculated under subparts [MB–MF](#) and [MZ](#), and
days is the total number of days in the period for which the income has been derived.

For example, a person's income for a 375-day period in an income year would be reduced by the following fraction:

$$\frac{365}{375}$$

A person's net income (or net loss) for tax purposes may need to be recalculated for the purposes of determining their family scheme income. This recalculation takes the form of adjustments.

Exempt income

Certain exempt income is added back to a person's net income for the purposes of calculating family scheme income:

- # spousal maintenance or child support, or a payment in the nature of maintenance from a former or current spouse, civil union or de facto partner
- # income from an overseas pension to the extent that a deduction has been made by Work and Income New Zealand against a monetary benefit, excluding New Zealand superannuation or a veteran's pension
- # an amount of salary or wages that is exempt from income tax under the Arbitration (International Investment Disputes) Act 1979, Consular Privileges and Immunities Act 1971, Diplomatic Privileges Act 1968, International Finance Agreements Act 1961 or Pitcairn Trials Act 2002.

Trustee income

Trustee income and trust-controlled company income are included in a person's family scheme income when that person is a settlor of a trust (other than by virtue of providing professional services for less than market value in the administration of the trust or the maintenance of the trust property). The definition of "settlor" is that used in the trust rules. The definition is wide and includes any person who transfers value to or for the benefit of the trust or on the terms of the trust.

There are a number of exceptions. Trustee income is not included in the definition of family scheme income if:

- # the trust is registered as a charitable entity under the Charities Act 2005
- # the trust is solely for the benefit of a local authority
- # interest and dividends derived by the trust are exempt income under s [CW 45](#) (Funeral trusts)
- # the trust is a superannuation fund
- # the person and members of the person's family are not entitled to benefit under the trust except under a court order.

The person's family scheme income for the income year includes the amount calculated using the following formula:

$$(\text{trustee income} + \text{companies income}) \div \text{settlor number}$$

where:

trustee income is the net income of the trustee for the income year, reduced to not less than zero by trustee income vested or paid by the trustee as beneficiary income for the year

companies income is the greater of zero, and the total amounts calculated under the formula below for each company in which the trustee and associated persons of the trustee hold voting interests of 50% or more on the last day of the income year, and

settlor number is the number of settlors of the trust who are alive at any time in the income year and to whom s [MB 7](#) applies.

For the item "companies income", an amount to be totalled is calculated for each relevant company using the following formula:

$$\text{trustee's interest} \times (\text{income} \# \text{dividends})$$

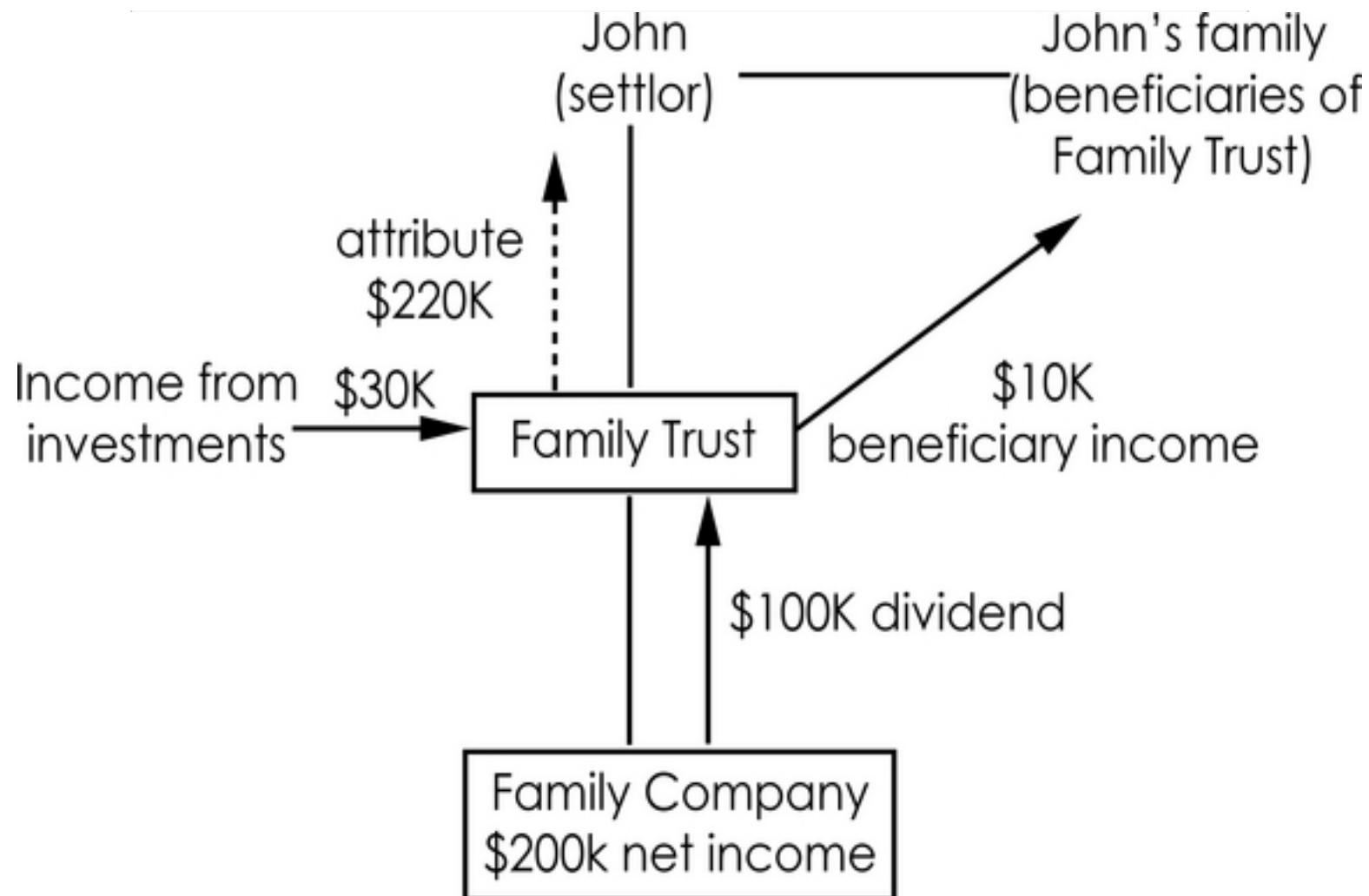
where:

trustee's interest is the percentage voting interests for the relevant company held by the trustee on the last day of the company's income year

income is the net income of the relevant company for that income year, and

dividends is the total dividends paid by the relevant company for that income year.

Example:



In this example, John is the sole settlor of Family Trust. Family Company is wholly owned by Family Trust. Family Company's net income is \$200,000 and it pays an imputed dividend of \$100,000 to Family Trust. Family Trust also earns income of \$30,000 from investments. Family Trust distributes \$10,000 as beneficiary income to John's family.

John's family scheme income for the income year is calculated as follows:

Trustee income	\$100,000 dividend + \$30,000 debt investment income
	less \$10,000 beneficiary income
	= \$120,000
Companies income	100% trustee's interest × (\$200,000 net income # \$100,000 dividend)
	= \$100,000
	(trustee income + companies income) ÷ settlor number
	= (\$120,000 + \$100,000) ÷ 1
Total	= \$220,000

Therefore, \$220,000 is included in John's family scheme income for the income year.

Non-beneficiary income from a trust

From 26 June 2019, non-beneficiary income from a trust is included within family scheme income when the person is not a settlor. However, the Commissioner may determine the circumstances in which such a payment should be excluded from family scheme income and if the payment is received in such circumstances, it will not be included.

Fringe benefits of controlling shareholders

The taxable value of attributable fringe benefits where an employee shareholder and any associated person holds 50% or more of the voting interests is included in the definition of family scheme income. To reduce compliance costs, only fringe benefits that are required to be attributed to an employee under s [RD 47](#) are taken into account. Therefore, the following fringe benefits provided to a shareholder–employee may be subject to inclusion in family scheme income:

- # motor vehicles
- # employment-related loans (with the exception of loans provided by life insurers)
- # the following benefits where the taxable value exceeds \$1,000 in an income year:
 - # subsidised transport
 - # contributions to a superannuation scheme
 - # contributions to sickness funds
 - # accident or death benefit funds
 - # contributions to funeral trusts, and
 - # the payment of a specified insurance premium or contributions to an insurance fund of a friendly society, and
 - # unclassified benefits where the total taxable value for the employee is \$2,000 or more in the relevant year.

The value of the fringe benefit to be included as part of family scheme income is calculated as the total of:

- # the taxable value of the fringe benefit attributed to the person, and
- # the company's fringe benefit tax liability for that fringe benefit.

Example:

Chris is an employee of a company controlled by a trust that he settled. Chris is married and has three children under the age of 13. His partner is not in paid employment. Chris receives a salary of \$70,000 and is provided with a motor vehicle (with a cost price of \$60,000 including GST) which is available at all times for private use.

Under the FBT rules, the company must calculate and pay FBT on the private use of the vehicle. The taxable value of the motor vehicle is calculated under s [RD 29\(4\)](#) as:

$$(\text{days} \times \text{Sch 5 amount}) \div 365$$

where:

- days** is the number of days in the income year in which the motor vehicle is available to Chris (365 days), and
- Sch 5 amount** is, in this case, 20% of the GST-inclusive cost price of the vehicle ($20\% \times \$60,000 = \$12,000$).

Therefore, the taxable value of the fringe benefit is \$12,000. This amount, together with the FBT payable by the company on the provision of the motor vehicle, is required to be included as part of Chris' family scheme income when calculating his eligibility for WFF tax credits.

Fringe benefits of non-controlling shareholders

Under s [MB 7B](#) certain non-cash benefits received by employees are also included in their family scheme income calculation. Note that s [MB 7B](#) applies to all employees to whom s [MB 8](#) does not apply, ie employees who are not controlling shareholders.

The availability of an employer-provided motor vehicle for an employee's private use is included if it is part of an explicit salary trade-off — that is, if the employee would be entitled to a greater amount of employment

income if they choose, or have chosen, not to receive the benefit of the motor vehicle. The amount to be included is the amount by which their employment income would be increased in the absence of that benefit.

An employee who receives short-term charge facilities (as defined in s [CX 25\(3\)](#) — see [¶21-588](#)) is also required to include these if the value of benefits received in a year is more than the lesser of 5% of the employee's salary or wages and \$1,200. It is important to note that this applies for any employee, not just those employees who work for charitable organisations. Where the threshold is exceeded, the amount included is the aggregate value of all short-term charge facility benefits, including fringe benefit tax. If the employer does not provide the correct rate, for social policy purposes employees may apply the maximum FBT rate on their short-term charge facilities provided by their employer.

Example:

Mary is employed by a local toy shop as a store assistant. The shop often pays their staff with petrol vouchers. In addition to her pay of \$220, Mary is given a \$20 petrol voucher each week. This gives Mary an annual wage of \$11,440 and vouchers worth \$1,040.

The threshold that applies to Mary is 5% of her wages, which is \$572 ($\$11,440 \times 5\%$).

Because the value of the vouchers is more than \$572, Mary will need to include the value (\$1,040) plus any FBT her employer has paid on the vouchers, in her income for WFF tax credits.

Deductions allowed

When calculating the net income of a taxpayer for WFF tax credit purposes, a deduction is allowed for payments of maintenance, child support and liable parent contributions made to IR.

Business activities

If a person carries on more than one business, the income of each business must be calculated separately. The income and deductions of a net-loss business are ignored for the purposes of calculating family scheme income. When calculating business income, the Commissioner may allow a deduction for expenditure incurred or depreciation loss on any asset used in the business. Deductions relating to an asset used in more than one business must be appropriately apportioned between the businesses. Two or more businesses carried on by a person may be treated as a single business if the Commissioner is satisfied that those businesses are of a kind that are normally carried on in association with each other.

Investment losses

If a person has or carries on an investment activity in an income year, and that investment produces a net loss, both the income and the deductions from that investment are ignored when calculating family scheme income. An investment activity includes the passive holding of an investment asset, including but not limited to a rental property, but does not include a bank account (*Tax Information Bulletin* [¶227-102 Vol 22, No 7](#), August 2010 at 24).

TRA decision Case 2/2012 ([\(2012\) 25 NZTC ¶1-014](#)) considered whether rental losses can be taken into account for determining family scheme income under the Income Tax Act 2004. Holding that the losses could not be taken into account, the TRA found that regardless of whether the disputant intended to make a pecuniary property (the disputant's position being that the rental activity was not a business as only capital profits were intended), the disputant was carrying on a business and the losses must be excluded for the purposes of determining WFF entitlements.

Major shareholders in close companies

Any person who is a major shareholder in a close company on the last day of the company's balance date for financial purposes is required to make a calculation to determine the notional amount included in their family scheme income from the company.

A major shareholder in a close company is generally a person who owns or controls or has the right to acquire at least 10% of the shares or voting rights in the company, or has by any other means at least 10% of the control of the company.

Shares in a close company held by a dependent child of a principal caregiver are attributed to the principal caregiver or their spouse if they are a major shareholder of the close company. The formula is as follows:

$$(\text{person's interest} + \text{attributed interest}) \times (\text{income} \div \text{dividends})$$

where:

person's interest is the percentage voting interest held by the person in the company on the last day of the company's income year

attributed interest is the amount calculated under the formula below

income is the net income of the company for the company's income year

dividends is the total dividends paid by the company for the company's income year.

To calculate the attributed interest, the following formula is used:

$$\text{dependent child interest} \div \text{relevant major shareholders}$$

where:

dependent child interest is the total percentage voting interests held, on the last day of the company's income year, by:

the person's dependent children

the dependent children of the person's spouse, civil union partner or de facto partner

relevant major shareholders is the total number of the following people who are major shareholders on the last day of the company's income year:

the person

the person's spouse, civil union partner or de facto partner

principal caregivers of the dependent children described above (ignoring those caregivers already counted).

Contributions to superannuation scheme

Employer-funded distributions received by a person from a superannuation scheme may form part of the person's family scheme income. This will be the case when the employer has contributed to that superannuation scheme in the income year in which the distribution was received or in the preceding 2 income years, and the person has remained in that employment for at least one month after the distribution.

However, a distribution to a person on their retirement from employment with an employer who has contributed to the superannuation scheme is not part of the person's income. The distribution is also not included in income if it is from a superannuation scheme that is a KiwiSaver scheme or a complying superannuation fund.

Contributions to retirement savings scheme

If a person receives a distribution from a retirement savings scheme of a retirement savings scheme contribution, that distribution is assessable income to the person if retirement scheme contribution tax (RSCT) was withheld from the contribution and, at the time of the distribution, the person is not eligible for New Zealand superannuation but is eligible to receive a retirement savings scheme contribution.

Other amounts included in the definition of family scheme income

Family scheme income also includes:

- # income from certain pensions and annuities
- # amounts attributed by a PIE that is not a superannuation fund or a retirement savings scheme
- # distributions from listed PIEs
- # passive income of more than \$500 derived by a dependent child
- # non-residents' foreign-sourced income derived by a person's spouse, civil union or de facto partner, and
- # subject to a number of exclusions, payments from any other source used by a person to replace lost or diminished income of the person or the person's family or to meet usual living expenses of the person or the person's family that total more than \$5,000 for the year. (The exclusions relate primarily to loans, grants, windfall gains and capital amounts.)

Amounts attributed by a PIE that is a superannuation fund or a retirement savings scheme and certain refunds made from main income equalisation accounts are excluded from the definition of family scheme income.

Arrangements

Any arrangements entered into by a person for the purpose of achieving a more favourable effect under the WFF and FamilyBoost tax credit rules may have their effect negated (ie reduction in family tax credits) by the Commissioner (ss [GB 44](#) and [GB 44B](#)). Note the section covers arrangements entered into by a person who does not receive the tax credits directly (eg a spouse).

Law: IT07 ss [GB 44](#), [GB 44B](#), [MB 1–MB 13](#), [MC 11](#), [YA 1](#) (“[main benefit](#)”, “[settlor](#)”), [Sch 38](#); TAA s [91AAS](#)

Last reviewed on 31 December 2025

Calculating the abating WFF tax credit [¶12-130]

[¶12-130]

[Click to open document in a browser](#)

An abating WFF tax credit is one allowed and calculated under s [MD 1](#). An abating WFF tax credit comprises the total of the:

- # family tax credit ([¶12-135](#)), and
- # in-work tax credit (or the child tax credit) ([¶12-140](#))

reduced by the family credit abatement amount ([¶12-150](#)).

Thus, a person's abating WFF tax credit for an entitlement period is calculated as:

$$\text{family tax credit} + \text{in-work tax credit} - \text{credit abatement}$$

The amount of abating WFF tax credits payable depends on the level of the applicant's family scheme income as calculated under subpart [MB](#) ([¶12-125](#)) and the extent of the period for which the taxpayer is entitled to claim the credit.

For the purposes of subparts [MB–MG](#) and [MZ](#) and their related definitions the term “spouse” does not include a “separated person” (ie a person who is separated and living separate and apart from the applicant).

Note that the in-work tax credit replaced the child tax credit. A person may still be entitled to the child tax credit but only if that person was receiving the child tax credit before 31 March 2006, continues to be eligible for the child tax credit, and is not eligible for the in-work tax credit.

Law: IT07 ss [MD 1](#), [YA 1](#) (“separated person”, “spouse”)

Last reviewed on 31 December 2025

Family tax credit [¶12-135]

[¶12-135]

[Click to open document in a browser](#)

A person's family tax credit entitlement for an entitlement period is calculated as follows:

$$\text{prescribed amount} \times \text{days} \div 365$$

where:

prescribed amount is the maximum annual rate families may be entitled to. See [¶150-041](#) for the prescribed amounts for the 2024–25 and subsequent income years, and

days is the number of days in the entitlement period.

The relevant amounts may be increased by Order in Council to take into account the movement in the New Zealand Consumers Price Index (in other words, the amounts may be adjusted for inflation), rounded up to the nearest whole dollar. The first increase must be made if the index number has moved 5% or more from the index that applied on 1 October 2008. Subsequent to that, an Order must be made if the index number moves 5% or more from the date of the last adjustment. The Order must be made no later than 1 December each year and must apply from the following 1 April.

Law: IT07 ss [MD 3](#), [MF 4](#), [MF 7](#)

Last reviewed on 31 December 2025

In-work tax credit [¶12-140]

[¶12-140]

[Click to open document in a browser](#)

The in-work tax credit is available to families that work and are not receiving a main benefit.

The in-work tax credit is calculated as follows:

$$(\text{amount A} + \text{amount B} \times (\text{children} \# 3)) \times \text{weekly periods} \div 52$$

where:

amount A is \$5,070 from 31 July 2024 (amount A was \$3,770 before 31 July 2024)

amount B is \$780

weekly periods is the number of whole one-week periods in the entitlement period for which the “principal caregiver” (see below) or their spouse, civil union partner or de facto partner has “eligible income” (see below) or is an “earner” (before 1 July 2020, a “full-time earner”) (see below). If there are 2 or more eligible periods forming one continuous period, it is the number of whole one-week periods in that continuous period that is used, and

children is the greater of 3 and the number of children for whom the principal caregiver is entitled to the in-work payment.

Amount A and amount B may be increased by Order in Council.

The formula effectively results in a tax credit of \$5,070 for up to 3 children, and \$780 for each *additional* child where the claimant has more than 3 children.

Entitlement to in-work credit

To be eligible for the in-work credit, the following criteria must be satisfied:

the principal caregiver is aged 16 years or over

the child being cared for is:

primarily the responsibility of the principal caregiver other than on a temporary basis, and

financially dependent on the principal caregiver (including a child for whom payments are made under s 363 of the Oranga Tamariki Act 1989 or a child for whom an orphan's benefit or unsupported child's benefit is paid under s 43 or 46 of the Social Security Act 2018)

(see also [¶12-120](#) under “Joint custody arrangements” for how this criterion is applied to a separated parent)

either the principal caregiver has been both resident and present in New Zealand for a continuous period of 12 months at any time and is a tax resident and resident in New Zealand on the date on which the WFF tax credit is claimed, or the child is both resident and present in New Zealand for the entitlement period

the principal caregiver is neither a transitional resident nor the spouse, civil union partner or de facto partner of a transitional resident

neither the principal caregiver nor their spouse, civil union partner or de facto partner receives a main benefit ([¶12-125](#)), a student allowance or an independent circumstances grant for students ([¶18-160](#)), a parent's allowance continued by cl 3 of Sch 1 of the Veterans' Support Act 2014 or a children's pension under s 72 or 75 of that Act, and

either or both the principal caregiver and their spouse, civil union partner or de facto partner, is normally an “earner” (before 1 July 2020, a “full-time earner”) (see below). From 1 April 2021, this requirement will also be met if the person does not meet the requirement at that time but has met the requirement within the last 14 days.

Eligible income

For the purposes of the in-work tax credit, a person's eligible income can only comprise:

- # a "PAYE income payment" subject to certain exclusions (see below), although simply deriving income of the excluded types does not make the person ineligible
- # a shareholder–employee salary from a close company with no tax deducted
- # business income, or
- # an amount paid or benefit provided by a person receiving a personal services rehabilitation payment from which tax has been withheld, and paid or provided to another person who provided the services.

For the purposes of determining the eligible income for an in-work tax credit, excluded from "PAYE income payments" are certain items listed in s [MD 9\(2\)\(a\)\(ii\)](#) and [\(3\)](#). Briefly, these excluded items are:

- # a gratuitous payment made to a person in return for services performed by the person, their parent, child, spouse, civil union partner or de facto partner or former spouse, civil union partner or de facto partner (but not parental leave payments or preterm baby payments)
- # main benefits, veterans' pensions, New Zealand superannuation and retirement lump sums paid under Pt 5, subpart 7 of the Veterans' Support Act
- # a parent's allowance continued by cl 3 of Sch 1 of the Veterans' Support Act or a children's pension under s 72 or 75 of that Act
- # a schedular payment that is a contract payment for a contract activity or service of a non-resident contractor
- # student allowances and independent circumstances grants for students, and
- # various earnings-related compensation paid under the Accident Compensation Act 1982, the Accident Rehabilitation and Compensation Insurance Act 1992, the Accident Insurance Act 1998 and the Injury Prevention, Rehabilitation, and Compensation Act 2001 (renamed as the Accident Compensation Act 2001 from 3 March 2010).

Full-time earner and earner definitions

From 1 July 2020, a broader "earner" definition applies for the purposes of the in-work tax credit. An earner is defined as a single person who is employed during a week or a person (either married, or in a civil union or de facto relationship) whose partner or both the person and their partner are employed during the week.

Allowance is made for persons receiving paid parental leave, preterm baby or accident compensation payments who would otherwise be earners.

A person who has a payment period under the Compensation for Live Organ Donors Act 2016 and is employed at the start of the period is treated as being employed during the period for the hours for which the person would have been employed but for the organ donation.

Similarly, a person who is not working because the person has become incapacitated through a personal injury by accident or a service-related injury or illness is treated as being employed for the hours the person would have been employed but for the incapacity.

Also, a person will be treated as satisfying the earner criteria if:

- # the person was receiving a child tax credit for an entitlement period ending on 31 March 2006, and
- # the person or their spouse, civil union partner or de facto partner suffered an incapacity due to personal injury by accident between 1 January 2006 and March 2006, and
- # weekly compensation is being paid (or will be paid) in respect of the incapacity, and
- # the person or their spouse, civil union partner or de facto partner would have satisfied the full-time earner criteria and been eligible for the in-work tax credit at the time of the incapacity if the in-work tax credit had come into force before the date of the incapacity (s [MD 9\(4\)](#)).

In addition:

- # a major shareholder in a close company can meet the earner requirement even if the shareholder does not derive gross income for the income year provided the company derives gross income

a person will still meet the earner requirement if that person is receiving weekly ACC or Veterans' Affairs New Zealand compensation as a surviving spouse, civil union partner or de facto partner.

Note: From 1 April 2021, amendments were made and provided that a family receiving the in-work tax credit would continue to receive the payments for up to 2 weeks when an earner was transitioning between jobs, taking an unpaid break from work, or left their employment. However, payments stop if a benefit is claimed.

Law: IT07 ss [MA 7](#), [MC 10](#), [MD 4–MD 10](#), [MF 4J–MF 4K](#), [YA 1](#) (“orphan’s benefit”, “unsupported child’s benefit”)

Last reviewed on 31 December 2025

Paid parental leave [¶12-145]

[¶12-145]

[Click to open document in a browser](#)

Paid parental leave is a government-funded entitlement paid to eligible working mothers and adoptive parents when they take parental leave from their job to care for their newborn or adopted child (under the age of 6).

Paid parental leave is paid for up to 26 weeks for a child with a due date or born or adopted on or after 1 July 2020.

The maximum payment amount is \$788.66 a week before tax each week (for the period from 1 July 2025 to 30 June 2026) or 100% of the person's weekly pay before tax, whichever is the lower. The amount is adjusted on 1 July each year.

If paid parental leave is paid, Best Start payments will begin after the last paid parental leave payment.

A preterm baby payment may also be available if a baby is born before the end of the 36th week of gestation. Up to 13 weeks of preterm baby payments may be paid, commencing on the date of birth of the child and ending on the date the 36th week of gestation would have ended had the child not been born prematurely.

An employee is entitled to paid parental leave if they have worked for the same employer for an average of 10 hours each week (with at least one hour in every week or 40 hours in every month) in the 6 or 12 months immediately before the baby's due date, or the date they assume care of a child they intend to adopt. There are different leave entitlements for employees depending on whether they meet the 6- or 12-month criteria.

A self-employed person is entitled to at least the minimum rate of \$235 before tax each week (for the period from 1 July 2025 to 30 June 2026) of paid parental leave if they have worked for an average of 10 hours each week in the 6 or 12 months immediately before the baby's due date or the date they assume care of a child they intend to adopt.

Also see IR leaflets [IR201](#), "Working and raising a family?", April 2025 and [IR753](#), "Support for you and your baby", July 2025.

Law: IT07 ss [MD 11](#), [MD 12](#), [MD 12B](#), [MD 16](#), [MF 7](#)

Last reviewed on 31 December 2025

Abating WFF tax credit [¶12-150]

[¶12-150]

[Click to open document in a browser](#)

The family tax credit and the in-work tax credit (or child tax credit) are subject to abatement once the taxpayer's family scheme income exceeds certain thresholds. "Family scheme income" is a person's net income recalculated for the purposes of determining the level of entitlement to a Working for Families (WFF) tax credit under s [MD 2](#) ([¶12-125](#)). The abatement is first applied to reduce any family tax credit, with the remainder, if any, being applied to the in-work tax credit (or child tax credit).

The family credit abatement is calculated as follows:

$$\text{full-year abatement} \times \text{number of days in the entitlement period} \div 365$$

Full-year abatement

From 1 April 2026 the full year abatement rate increased to 27.5¢ for each dollar of family scheme income in excess of \$44,900. If a person has a spouse, civil union partner or de facto partner, this threshold applies to the family scheme incomes of both parties. For example, if a couple works in excess of 30 hours per week and earns \$70,000 of family scheme income in a tax year, the full-year abatement would be $(\$70,000 - \$44,900) \times 0.275 = \$6,902.50$.

Number of days in entitlement period

The number of days in the entitlement period excludes the calendar months in which a person is a "protected family tax credit" recipient. Under s [MD 14](#), a person is a "protected family tax credit" recipient for a calendar month in an entitlement period if, in the calendar month, the person:

- # has no spouse, civil union partner or de facto partner, receives a main benefit ([¶12-125](#)) and derives annualised family scheme income that is less than the threshold amount in s [MD 13\(3\)\(a\)](#) (\$44,900 from 1 April 2026), or
- # has a spouse, civil union partner or de facto partner, receives a main benefit and their combined annualised family scheme income derived is less than the threshold amount.

The following apply when calculating the family scheme income for the purposes of s [MD 14](#):

- # income derived from employment or from a main benefit ([¶12-125](#)) is not treated as having been derived at a uniform daily rate throughout the period of employment or receipt of the benefit, as the case may be
- # extra pays derived in a calendar month are excluded, and
- # if a person derives, for part of an income year, a shareholder–employee salary from a close company with no tax deducted, or income from a business, the income derived and the expenditure incurred are treated as having been derived and incurred at a uniform daily rate throughout that part of the income year.

Abatement threshold adjustments

The threshold at which WFF tax credits begins to abate is no longer automatically indexed to inflation. However, the abatement threshold can be changed by an Order in Council which must be made where the total percentage increase in the movement in the Consumers Price Index (all groups) measured from the previous inflation adjustment round or 1 October 2021 is more than 5% (s [MF 7\(1\)\(a\)](#) and [\(2\)](#)). An Order in Council made to increase family scheme thresholds must be made no later than 1 December each year and must apply from the following 1 April (s [MF 7](#)). Note that the family tax credit continues to be automatically indexed to inflation ([¶12-135](#)) (*Tax Information Bulletin* [¶227-102 Vol 22, No 7](#), August 2010 at 24).

Law: IT07 ss [MD 2](#), [MD 13–MD 16](#), [MF 7](#)

Last reviewed on 31 December 2025

Minimum family tax credit [¶12-160]

[¶12-160]

[Click to open document in a browser](#)

The minimum family tax credit provisions ensure a minimum take-home income for all full-time earners with dependent children, in addition to WFF tax credits (ie the family tax credit, the in-work tax credit and the Best Start tax credit less the credit abatement). The minimum family tax credit is aimed at supplementing the income of working families with dependent children to a guaranteed after-tax income. The prescribed amount used to calculate the minimum family tax credit may be increased by Order in Council.

The prescribed amount for the minimum family tax credit from 1 April 2026 is \$36,604 (\$35,316 before 1 April 2026).

In a 2-parent family, the minimum family tax credit is paid to the “principal caregiver” (ie the parent who has primary responsibility for the day-to-day care of a dependent child other than on a temporary basis — see [¶12-120](#)). It should be noted that certain persons are not eligible for the minimum family tax credit. These include persons receiving main benefits, veterans’ pensions, New Zealand superannuation, contract payments to non-resident contractors or student allowances.

The minimum family tax credit is based on the entitlement period and on the number of weeks within the entitlement period that the claimant is a “full-time earner” (see below). It is calculated on the basis of “net family scheme income” under the formula provided for the purposes of that definition in s [ME 3](#). The definition of “net family scheme income” ensures that the minimum family tax credit is calculated from a base of after-tax income.

The formula to be used for calculating the amount of minimum family tax credit available to a qualifying person depends on whether that person has a spouse, civil union partner or de facto partner. A “spouse” for the purposes of this section does not include a person who is living separately and apart from the qualifying person (s [YA 1](#)).

For a qualifying person who is the principal caregiver and who has a spouse, civil union partner or de facto partner during the entitlement period, the amount of an instalment of the minimum family tax credit from 31 July 2024 is calculated as follows—

$$(\$35,316 \text{ \# net family scheme income}) \times \text{number of one-week periods as a full-time earner} \div 52$$

For a person who has a spouse, civil union partner or de facto partner during an entitlement period, the amount of “net family scheme income” included in the formula is the net family scheme income of the taxpayer or their spouse, civil union partner or de facto partner or both of them.

Full-time earner

A full-time earner is a single person engaged in “employment” at least 20 hours per week or a person (either married, in a civil union or in a de facto relationship) who is working at least 30 hours per week or whose hours of work aggregated to those of their spouse, civil union partner or de facto partner total 30 hours per week or whose spouse, civil union partner or de facto partner is engaged in full-time employment for at least 30 hours per week. Allowance is made for persons receiving paid parental leave, preterm baby, accident compensation payments or earnings compensation under the Compensation for Live Organ Donors Act 2016 who would otherwise be full-time earners. See discussion of full-time earner in [¶12-140](#).

Employment

For the purposes of subpart [ME](#), “employment” is defined in s [ME 2](#) as referring to the activity a person performs that gives rise to an entitlement to a PAYE income payment. However, for the purposes of the definition, the following classes of PAYE income payment are excluded:

payments to a working partner

- # payments of main benefits, veterans' pensions, New Zealand superannuation and a retirement lump sum paid under Pt 5, subpart 7 of the Veterans' Support Act 2014
- # payments of student allowances and independent circumstances grants
- # contract payments to a non-resident contractor
- # payments made by a close company to a major shareholder in that company (a major shareholder is a person who either owns or controls or has the right to acquire at least 10% of the shares or voting rights in the company or has by any other means at least 10% of the control of the company)
- # payments made by a person to their spouse, civil union partner or de facto partner, or
- # payments made by a business conducted jointly by 2 or more persons to a spouse, civil union partner or de facto partner of any of those persons.

Provision is made for work performed on an intermittent basis. A person who receives a payment relating to a day on which that person did not actually perform any (or sufficient) work to give rise to a payment is treated as having performed sufficient work to justify the payment. The Commissioner determines the extent of the work treated as having been performed that day after taking into account such relevant matters as the pay period and surrounding circumstances.

Law: IT07 ss [MA 7](#), [MC 6](#), [ME 1–ME 3](#), [MF 4H](#), [MF 4I–4K](#), [YA 1](#) (“spouse”)

Last reviewed on 31 December 2025

Best Start tax credit [¶12-165]

[¶12-165]

[Click to open document in a browser](#)

The Best Start tax credit applies from 1 July 2018 and replaced the parental tax credit. From 1 April 2026, it is a payment of up to \$4,041 a year (\$3,838 before 1 April 2026) per child to help families with the costs in a child's early years, until the child turns 3. It is available to all families in the first year of a child's life. For the second and third years, support continues for low- and middle-income families, with the credit abating at 21¢ for every dollar that exceeds \$79,000.

Note: For children born on or after 1 April 2026, the Best Start tax credit will be income-tested in the first year as well as the second and third years (*Tax Information Bulletin* [¶377-102 Vol 37, No 7](#), August 2025 at 13).

If paid parental leave is paid, Best Start payments will begin after the last paid parental leave payment ([¶12-145](#)).

See also IR leaflet [IR753](#), "Support for you and your baby", July 2025.

Eligibility

A Best Start tax credit applies to a person who is eligible to receive a WFF tax credit ([¶12-120](#)) if:

- # the person is a principal caregiver for the dependent child during the entitlement period, and
- # the dependent child is less than 3 years old and was born on or after 1 July 2018.

Amount of credit

The amount of a Best Start tax credit is calculated under the following formula:

$$\text{Best Start tax credit} \# \text{ credit abatement}$$

Best Start tax credit

A person's Best Start tax credit for an entitlement period for a dependent child is calculated as follows:

$$\text{prescribed amount} \times \text{days} \div 365$$

where:

- prescribed amount** is \$4,041, and
- days** is the number of days in the entitlement period.

A person continues to be entitled to the Best Start tax credit for 4 weeks after a dependent child dies provided they continue to meet the eligibility requirements.

The Best Start tax credit is apportioned on the basis of the time that a dependent child spends in the exclusive care of another qualifying person during the entitlement period.

Credit abatement

The Best Start credit abatement is calculated as follows:

$$\text{full-year abatement} \times \text{number of days in the entitlement period} \div 365$$

Full-year abatement

The full-year abatement is 21¢ for each dollar of family scheme income in excess of \$79,000. If a person has a spouse, civil union partner or de facto partner, this threshold will be applied to the family scheme incomes of both parties. For a discussion of family scheme income, see [¶12-125](#).

A “spouse” for these purposes does not include a person who is living separately and apart from the qualifying person (s [YA 1](#)).

Number of days in entitlement period

The number of days in the entitlement period excludes:

- # the days on which the dependent child is less than one year old
- # the calendar months in which the person is a “protected Best Start tax credit” recipient.

Under s [MG 4](#), a person is a “protected Best Start tax credit” recipient for a calendar month in an entitlement period if, in the calendar month, the person:

- # has no spouse, civil union partner or de facto partner, receives a main benefit ([¶12-125](#)) and derives annualised family scheme income that is less than the \$79,000 threshold amount, or
- # has a spouse, civil union partner or de facto partner, receives a main benefit, and their combined annualised family scheme income derived is less than the threshold amount.

Law: IT07 subpart [MG](#), ss [MA 8](#), [YA 1](#) (“protected Best Start tax credit”, “spouse”)

Last reviewed on 31 December 2025

End-of-year tax credit and assessment for WFF tax credits [¶12-170]

[¶12-170]

[Click to open document in a browser](#)

A person entitled to WFF tax credits must register with the Commissioner. Applicants used to have to sign and file an application form ([IR271](#)) and an annual tax return, now application can be made in 3 ways: registering in MyIR, completing an online form or over the phone with IR.

The combined amount of the abating WFF tax credit, minimum family tax credit and, from 1 July 2018, Best Start tax credit is a person's total tax credit under the family scheme for a tax year. Family scheme tax credits are then set off against the person's income tax liability and any surplus may be transferred under the tax transfer rules ([¶12-148](#)) or is refunded in accordance with ss [LA 4](#), [LA 5\(5\)](#) and [LA 7](#). Any interim family tax credit instalments that have been incorrectly allowed during the tax year are adjusted for in the year-end assessment.

To claim a credit of tax on account of any child the Commissioner must be provided with the child's tax file number, birth certificate, or other evidence acceptable to the Commissioner in verifying the child's birth or existence. This information must be provided for each child in respect of whom a credit is claimed.

The Commissioner is empowered by s [MF 5](#) to recover excess family tax credits paid as if they were income tax payable.

Statement of family scheme income

If a person receives weekly or fortnightly tax credit payments, the person will also receive a notice of entitlement for a tax year ([¶12-175](#)). At the end of the tax year, the person must give the Commissioner, within the time in which they are required to file their tax return, a complete statement of their family scheme income for the tax year, including the family scheme income of their spouse, civil union partner, or de facto partner, as applicable. The exception is if the only tax credit the person expects to be entitled to for the tax year is the Best Start tax credit and all dependent children will be less than one year old on the last day of the tax year.

A person does not have to provide the family scheme income of their spouse, civil union partner or de facto partner if that other person submits their own separate family scheme income declaration form.

Adjustment for additional pay days

Any overpayment of WFF tax credits (being an abating WFF tax credit, a minimum family tax credit or, from 1 July 2018, a Best Start tax credit) received by a taxpayer who receives interim payments ([¶12-175](#)) throughout the year as a result of there being an extra pay day in the year will be written off. This adjustment was introduced to encourage taxpayers to apply for interim payments to assist with day-to-day living expenses, rather than waiting for an end-of-year lump sum payment (s [80KW](#) of the TAA).

Adjustment for credits used

A person's tax credit is adjusted if an instalment of credit is used to satisfy a tax liability from an earlier income year (ss [LB 4\(2\)](#) and [80KLB](#) of the TAA).

Law: IT07 ss [LA 4](#), [LA 5\(5\)](#), [LA 7](#), [LB 4](#), [MF 5](#), [MF 6](#); TAA ss [41](#), [80KLB](#), [80KV](#), [80KW](#)

Last reviewed on 31 December 2025

Application for interim instalments of WFF tax credits [¶12-175]

[¶12-175]

[Click to open document in a browser](#)

A person who expects to be entitled to WFF tax credits for a particular period in a tax year may apply to receive advance interim instalments of the tax credit rather than wait for it to be applied as an annual adjustment to their tax liability.

An application to receive family scheme payments by instalments must satisfy all of the following criteria:

- # it must be in the prescribed form (form [IR271](#)), by registering through MyIR or online
- # it must be signed by the applicant and their spouse, civil union partner or de facto partner (including a person who, at the time the application is made, expects to be a spouse, civil union partner or de facto partner in the elected period)
- # (unless the only tax credit the person expects to be entitled to is the Best Start tax credit and all dependent children will be less than one year old on the last day of the tax year) for each signatory, a complete statement of the family scheme income that is expected to be attributable to the tax year and to the elected period must be given
- # an election must be made for either weekly or fortnightly payments, and
- # any other information that the Commissioner may require must be included.

In addition, (unless the only tax credit the person expects to be entitled to is the Best Start tax credit and all dependent children will be less than one year old on the last day of the tax year) the information listed below must accompany an application for interim instalments:

- # evidence of the amount of income from employment derived by each signatory in the month immediately before the date of application, or
- # for a signatory who expects to derive income from a business, a copy of either of the following:
 - # the annual accounts of the business for the last tax year immediately before the tax year that contains the elected period
 - # if the annual accounts for the last tax year have not been completed, the accounts for the tax year immediately before the last tax year
 - # a set of budgeted accounts for the tax year that contains the elected period, or
 - # other evidence that is acceptable to the Commissioner in relation to the business for the tax year that contains the elected period, and
 - # the tax file number of each child in relation to whom a credit of tax is claimed or, except in the case of an application made by an adoptive parent, for a child who has died or is given up for adoption, a birth certificate or other evidence acceptable to the Commissioner that verifies the birth or existence of the child.

In the case of a person who only expects to be entitled to the Best Start tax credit and whose dependent children will be less than one year old on the last day of the tax year, only the additional information specified in the last bullet point of the above list is required to accompany the person's application.

The Best Start tax credit can be applied for at the same time the baby's birth is registered and application is made for an IRD number for the child.

No evidence of the amount of income derived from employment is required to accompany the application for interim instalments if the Commissioner considers that there is sufficient evidence of this.

If there is no tax file number accompanying the application, but the application is otherwise complete, the interim payments will be made for a period of 8 weeks and then will cease pending that evidence being provided.

Notice of entitlement

Upon receiving the application, the Commissioner is required to determine the estimated tax credit entitlement and issue a notice to the person specifying the amount of WFF tax credits payable. A notice of entitlement so issued is not transferable. The Commissioner may also specify the level of contribution by the relevant tax credits to the total interim instalments due (after abatement). Payments are made by way of tax credit. See below and [¶12-180](#).

Calculation of estimated allowance for interim instalments of WFF tax credits

The Commissioner estimates a person's WFF tax credit entitlement in terms of s [MF 3](#). This involves calculating an amount referred to as the annual amount under [Sch 31](#) of the Income Tax Act 2007 (IT07) in accordance with a prescribed formula. The WFF tax credit is then calculated with reference to that deemed annual amount.

The amount of any interim instalment of WFF tax credits will be calculated with reference to the annual amount determined in accordance with [Sch 31](#) and the relevant tax credit rates prescribed in subparts [MA](#) to [MG](#) and [MZ](#).

Law: IT07 ss [MF 1](#), [MF 3](#), [MF 4](#), [Sch 31](#); TAA ss [80KA–80KF](#)

Last reviewed on 31 December 2025

Payment of interim instalments of WFF tax credits by the Chief Executive [¶12-180]

[¶12-180]

[Click to open document in a browser](#)

Recipients of main benefits may not apply to the Commissioner for interim instalments of WFF tax credits. Such payments fall under the jurisdiction of the Chief Executive of the department responsible for the Social Security Act (the Chief Executive), ie the Ministry of Social Development.

Unless the Chief Executive and the Commissioner agree that the Commissioner will pay the WFF tax credits, the Chief Executive must make a payment of WFF tax credits at the same time as paying a main benefit, so long as they consider the recipient to be entitled and:

- # the family credit abatement or, from 1 July 2018, the Best Start credit abatement is nil, or
- # in any other case, the Chief Executive is authorised to make such payment in accordance with an Order in Council made under s [225A](#) of the TAA.

The method for determining the WFF tax credit payable is set out in s [80KO](#) of the TAA. This is largely the same method as that adopted by the Commissioner ([¶12-185](#)). It also requires the Chief Executive to take into account the rate of family tax credit and Best Start tax credit and the family credit abatement and Best Start credit abatement.

Special provisions are made to allow for the Chief Executive, in consultation with the Commissioner, to continue making payment of the family tax credit and the Best Start tax credit if the person concerned ceases to receive a main benefit and applies to the Chief Executive for the credits to continue.

The Chief Executive may also request the Commissioner to accept an application for a notice of entitlement in cases where a person is eligible for payment but falls outside the Chief Executive's jurisdiction. Such a request may also be revoked if payment subsequently falls back into the Chief Executive's jurisdiction.

Persons entitled to payment may ask the Chief Executive to cease payments and then recommence payments at their discretion.

The Chief Executive must deliver details of all WFF tax credits paid for a particular month in a manner agreed by the Chief Executive and the Commissioner.

Law: IT07 s [MF 2](#); TAA ss [80KN–80KT](#)

Last reviewed on 31 December 2025

Payment of interim instalments by Commissioner [¶12-185]

[¶12-185]

[Click to open document in a browser](#)

Interim instalments of WFF tax credits are made by the Commissioner in accordance with the relevant notice of entitlement ([¶12-175](#)). These payments are generally made by direct credit. Accordingly, applicants for family scheme credits must provide details of their bank account with one of the following institutions:

- # a licensed bank (by Order in Council or by 6 July 2029)
- # any registered bank within the meaning of the term in s 2 of the Banking (Prudential Supervision) Act 1989
- # any building society
- # the Public Service Investment Society Ltd, or
- # a credit union within the meaning of s 2 of the Friendly Societies and Credit Unions Act 1982.

In cases where a notice of entitlement has been unduly delayed, the Commissioner has the discretion to make a suitable payment of tax credit to make up for the delay.

Arrears of tax credits for families may be paid in the case of transition-to-work customers (ie those persons who are no longer entitled to payments of tax credits by the Chief Executive of the department responsible for the Social Security Act but who are entitled to payment by IR).

If, as a result of the information supplied by the Chief Executive, a person is entitled to a family tax credit or a Best Start tax credit, the Commissioner must make interim payments of the credit without abatement. The payment of interim instalments will begin on the day following the day on which the person is entitled to a main benefit, an orphan's benefit or an unsupported child's benefit or to a payment of WFF tax credits by the Chief Executive. The payments will end on the day preceding the first day specified in a notice of entitlement or the day that is the end of a period of not more than 8 weeks after the day on which payments begin, whichever is the earlier. The 8-week period (or part thereof) is reduced by any period in respect of which payment is made by the Chief Executive.

Working for Families tax credits excluded income

WFF tax credits are deemed to be excluded income derived by the person to whom the credit of tax is allowed.

Advice in determining entitlement

In determining a person's entitlement to family scheme credits, the Commissioner may, if they consider it necessary, obtain the advice of the Chief Executive or, as the case may be, the General Manager of Veterans' Affairs.

Notification of change in circumstances

A person holding a notice of entitlement for interim instalments must advise the Commissioner immediately when any of the following events occur:

- # the holder, or their spouse, civil union partner or de facto partner, commences or ceases to be the principal caregiver of any child where it is expected that this change will last for more than 56 consecutive days (8 weeks)
- # the holder commences or ceases to be a spouse, civil union partner or de facto partner in relation to another person
- # any event happens that is specified in the notice of entitlement
- # any other event happens that the person considers may affect their entitlement to the tax credit, or
- # the notice of entitlement is lost or destroyed.

The Commissioner may require an incorrect notice to be returned for cancellation or replacement. Also, if the Commissioner is advised by the Chief Executive that a person is also receiving a credit of tax from the Chief Executive, the Commissioner may request that the notice be returned. A notice of entitlement is subject to the terms and conditions stipulated; it is not transferable, and it is invalid if altered.

Law: IT07 ss [MA 3](#), [MA 5](#); TAA ss [80KE](#), [80KG–80KLB](#), [80KU](#)

Last reviewed on 31 December 2025

Early childhood education payment [¶12-190]

[¶12-190]

[Click to open document in a browser](#)

Eligible households may claim a FamilyBoost payment of up to \$1,560 (\$975 before 1 July 2025) a quarter to offset the cost of certain early childhood education ([¶11-200](#)).

Law: IT07 Subpart [MH](#), ss [MH 1](#), [MH 2](#), [MH 3](#), [MH 4](#) and [MH 5](#)

Last reviewed on 31 December 2025